

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-01

Visual Comfort & Co.

v.

COSCO Shipping Lines Co., Ltd.

RESPONDENT'S OPPOSITION BRIEF

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Respondent COSCO Shipping Lines Co., Ltd. (“Respondent” or “COSCO” hereby files its Opposition Brief (“Opposition”) to the Opening Brief (“Brief”) of Complainant Visual Comfort & Co. (“Complainant” or “VCC”). Respondent is also filing: (1) Respondent’s Proposed Findings of Fact (“RPFFs”); (2) Respondent’s Appendix (“RX”); and (3) Respondent’s Responses to Complainant’s Proposed Findings of Fact (“RCPFFs”). Respondent has consulted with Complainant regarding the treatment of documents marked confidential, but because its response was delayed, a Motion for Confidential Treatment will be forthcoming.

I. INTRODUCTION

To paraphrase William Shakespeare, this proceeding is much ado about nothing (or at least extremely little). The Complaint (“Compl.”) was initially filed by VCC on its own behalf. But VCC was *not a customer* of COSCO, and it had not paid any of the disputed charges to COSCO. When Respondent moved for judgment on the ground that Complainant was not a direct purchaser, VCC obtained an assignment of claims from its agent, R.I.M. Logistics, Ltd. (“RIM”),¹ and filed an amended complaint, seeking reparations for COSCO’s alleged charges to RIM.

But as the Complaint notably fails to reveal, RIM also was *not a customer* of COSCO for the shipments covered by the Complaint. Not one of the shipments covered by the Complaint moved pursuant to a service contract between RIM and COSCO. [RPFF245- RPFF249]. Nor did RIM act as shipper of these shipments under a COSCO contract or tariff. [RPFF18, RPFF173,

¹ Although RIM is licensed by the FMC as a Non-Vessel Operating Common Carrier (“NVOCC”) and an ocean freight forwarder (“OFF”), it appears that RIM did not act as either type of intermediary with respect to the shipments referenced in the Complaint. [RPFF14-RPFF21]. RIM was not an OFF, as these were not export shipments. It also seems that RIM did not act as an NVOCC either, as neither RIM nor VCC produced any house bills of lading from RIM to VCC, even though both were requested to produce any such documents. [RPFF225.]

RPFF231, RPFF236, RPFF238, RPFF249]. In fact, all of the shipments designated by VCC as within the scope of its Complaint moved under service contracts between COSCO and various other shippers located in Asia (which were also named as “shipper” on the COSCO bills of lading).² [RPFF236].

VCC's Opening Brief ("Brief") never mentions many other important facts. For example, the Brief fails to inform the Presiding Officer that the vast majority of the purported charges for which VCC seeks reparations are *not COSCO charges*. [RPFF123, RPFF124, RPFF125, RPFF126]. Rather, they are charges invoiced to RIM by third parties unaffiliated with COSCO, such as terminals, railroads, truckers, warehouses, and other entities used by RIM or VCC to move containers between the terminal and VCC facilities.³ [RPFF126.] For example, the largest category of purported charges regarding which Complainant seeks reparations is "storage charges." But COSCO does not impose such charges, and no COSCO invoice would reference COSCO "storage charges." [RPFF126.]

In addition to this serious omission, Complainant also neglects to mention that COSCO never invoiced VCC itself for any charges covered by the Complaint. And to the extent that VCC alleges that COSCO invoiced challenged charges to RIM, Complainant fails to submit a single such invoice (even though RIM will have them if they exist), so Complainant's assertion is unsupported by factual evidence. [RPFF256.] Further, Complainant has not shown that RIM

² In technical parlance, the bills of lading here were generally in the form of “sea waybills,” [see RX23-RX35] a type of non-negotiable bills of lading. We use the term “bill of lading” for clarity, because sea waybills are bills of lading and perform the same functions as other bills of lading.

[illegible]

actually paid COSCO for any of the challenged charges, a failure that is fatal to VCC's Complaint.
[RPFF258.]

The VCC Brief is just as deficient about the law as it is about "facts." Most astonishing is its failure to even mention, much less address, what is inarguably the most critical case pertaining to claims for unreasonable detention and demurrage charges: *TCW, Inc. v. Evergreen Line Joint Service Agreement*, 3 FMC 2d 1 (S.O. 2021), *aff'd* 5 FMC 2d 192 (FMC 2022), *vacated and remanded by Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024) (hereinafter "*TCW*"). You will search in vain for any reference to that governing case either in VCC's Table of Cases or in the text of its Brief (or in the McCown Report). Nor may Complainant be excused by a claim of ignorance (justifiable or not), as Respondent specifically called the D.C. Circuit precedent to the attention of the Presiding Officer and Complainant by way of Respondent's Notice of Supplemental Authority, filed on July 15, 2024.

Complainant likewise makes assertions about COSCO's processes for sending invoices and for mitigating detention and demurrage invoices (neither of which VCC or RIM ever used), without addressing the FMC's regulations governing invoicing and dispute resolution processes for detention and demurrage charges. 46 C.F.R. §§ 541.7, 541.8. Although these rules were not effective until after the events covered by the Complaint, it is surely dispositive that Respondent's actions and processes complied with those rules.

As detailed in this Opposition, VCC has not proffered adequate evidence to meet its burden of proof. Instead, it relies on an unjustified plea for adverse inferences and on the unsupported "opinions," not facts, proffered by its so-called "expert." In sum, VCC has failed to support the allegations of the Complaint with facts or law and the Complaint should be dismissed.

II. BACKGROUND

A. Summary of Facts

The facts underlying this matter are addressed at length in RPFFs and RCPFFs,” as well as the Appendices submitted by Respondent (“RX”) and Complainant (“CX”) incorporated herein by reference. We here highlight just some of the most salient points.

Put briefly, VCC was a commercial stranger to COSCO. From the few documents provided by Complainant, it appears that VCC contracted with RIM to assist VCC with respect to shipments sent by Asian shippers pursuant to those shippers’ respective service contracts with COSCO. [RPFF73; RPFF245 – RPFF249; CX29 (Hirschel Dep. at 8:1-5).] The exact nature of the VCC/RIM relationship is unexplained in the Brief or in the documents provided by VCC or RIM, but as stated above (n.1), RIM does not appear to have been acting in its licensed capacity as an NVOCC (neither VCC nor RIM produced any house bills of lading, so either they deliberately and improperly withheld responsive documents, or there were no house bills and RIM was not acting as an NVOCC).

The terms and conditions of demurrage and detention applicable to shipments destined for VCC were set by the service contracts between COSCO and the Asian shippers and/or the applicable COSCO tariff. There was no negotiation of detention or demurrage terms and conditions between COSCO and either VCC or RIM. Further, even though VCC claims to have asked RIM to seek changes from COSCO, including requests for extension of free time and the like, Complainant provides no evidence of such requests actually being made. [RPFF191-RPFF194.] ⁴

⁴ It is notable in this regard that while both Thomas O’Toole and Gary Hirschel testified that VCC asked RIM to contact COSCO, nothing shows that RIM *actually* made any such contact.

III. Procedural History

The original Complaint in this proceeding, filed pursuant to 46 C.F.R. 502 Subpart E, was served January 4, 2024, on COSCO Shipping Lines (North America), Inc. (“CSLNA”). Because CSLNA is not an ocean common carrier, it filed a January 24, 2024 motion to dismiss for lack of jurisdiction. This jurisdictional matter was resolved by agreement of the Parties, effectuated by an unopposed motion to amend the Complaint to substitute COSCO as the Respondent, which the Presiding Officer granted on February 6, 2024. The Amended Complaint was served on COSCO that day, and COSCO filed its Answer on February 20, 2024.

On March 20, 2024, Respondent filed a Motion for Partial Judgment on the Pleadings on the basis that VCC was not a direct purchaser and so ineligible to pursue reparations. On April 26, 2024, in a motion for leave to file a sur-reply to that motion, Complainant announced that it had received an assignment from RIM and provided a copy of the assignment.

The ensuing discovery process is described in detail in the RPFFs and discussed as relevant below, so will not be repeated here. Both sides resorted to the aid of the Presiding Officer, who ordered each (primarily Complainant) to comply with certain of the other side’s requests. Respondent complied with the Presiding Officer’s discovery order, but Complainant did not. Complainant’s failure to comply with discovery obligations was subject to a motion to dismiss for failure to prosecute, filed by Respondent on October 2, 2024, which the Presiding Officer tabled to the briefs by Order dated October 8, 2024. On November 8, 2024, Complainant filed its Brief, Proposed Findings of Fact (“CPFFs”), and Appendix.

IV. SUMMARY OF ARGUMENT

A. Count I: VCC Has Failed to Prove A Violation of 46 U.S.C. § 41102(c)

VCC asserts in Count I that COSCO violated 46 U.S.C. § 41102(c), which forbids unreasonable practices by an ocean carrier in connection with the assessment of detention and demurrage.⁵ But, as noted above, Complainant utterly fails to address the governing standards for such claims as established by the Commission and the courts. Under those standards, a would-be complainant alleging unreasonable detention and demurrage charges must prove those charges on a shipment-by-shipment, date-by-date, charge-by-charge basis. Specifically, a complainant must *prove* that: (1) the complainant (or its agent) could not pick up or return the container on the specific date for reasons outside of its control; and (2) the charge assessed for that specific day could not have served to incentivize cargo movement. *TCW, Inc. v. Evergreen Line Joint Service Agreement*, 3 FMC 2d 1 (S.O. 2021), *aff'd* 5 FMC 2d 192 (FMC 2022), *vacated and remanded*, *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024) (“TCW”).

Complainant has made no attempt to prove these essential elements of a claim under 46 U.S.C. § 41102(c). Other than serving an array of wholly inconsistent spreadsheets purporting to identify which shipments are supposedly covered by the Complaint, VCC has not adduced a single fact about any specific shipment or any specific charge for a specific date. Complainant has thus failed to prove either of the essential elements required by the Commission and courts. VCC has not shown that VCC or RIM was unable to timely pick up a single loaded container or return a single empty container to a particular terminal on a specific date, much less demonstrate that such

⁵ The Complaint also refers to alleged violations of 46 C.F.R. 545.5, but that rule is only guidance on how the FMC may look at alleged violations of 46 U.S.C. § 41102(c) and does not set any substantive requirements that may be independently violated. See *Evergreen Shipping Agency (America) Corp. v. FMC*, 106 F.4th 1113, 1115 (D.C. Cir. 2024) (“the FMC acknowledged that the rule, being interpretative, did not create any new ‘requirements,’ ‘mandates,’ or ‘dictates’”).

failure was through no fault of its own.⁶ Complainant also fails to discuss, much less satisfy, the requirement imposed by the D.C. Circuit that a complainant prove for each date on which a charge was imposed that such charge did not serve to incentivize pick up or return. As the court stated, such a finding requires a “fact-bound inquiry” into all of the relevant facts concerning the container to see if the charge furthered or hindered the incentive to move containers. *TCW, supra*, 106 F.4th at 1118. Nothing in the Brief would support any such “fact-bound inquiry.”

Instead of addressing the elements of a violation as required by the Commission and the courts, Complainant simply flings multiple unsupported theories at the wall (some created by Complainant, others by its “expert”), hoping one of them will stick. None do.

Complainant’s main theory appears to be that, during times of port congestion, there is an irrebuttable presumption that, whenever a shipper is late picking up a loaded container or returning an empty container, that failure was without fault, so issuing demurrage or detention invoice during such a period is *per se* an unreasonable practice. Complainant’s presumption flies in the face of the Commission’s ruling in *TCW*, as well as the D.C. Circuit’s modification requiring complainants to address the incentivizing effect of each specific charge.

Complainant’s theory for omitting the essential elements required by the Commission and the courts -- that detention and demurrage charges are *per se* unreasonable during time of congestion -- is not only contrary to governing precedent and the Commission’s Incentive Principle, as expressed in the rulemaking accompanying 46 C.F.R. § 545.5, but is also counterproductive to its stated goal: promoting freight fluidity. Periods of congestion are exactly the time when it is most necessary to incentivize shippers to remove cargo and return empty

⁶ Indeed, as we show below, at least some of the failures to pick up or return containers were clearly due to the fault of VCC or its agents.

containers. If there were no cost to a shipper or consignee for leaving cargo at the port, there would be absolutely no incentive to remove cargo until necessary for business, such as when space in its warehouse opens up or when it thinks the cargo is more likely to be needed.⁷ Likewise, shippers would have no incentive to ever return empty containers if they could not be charged for failure to do so. Why would a shipper bear the expense of hiring a trucker to return a container when it can just as easily, and at no cost, keep and use the container forever? In short, Complainant would have the Presiding Officer and the Commission turn the Incentive Principle on its head.

Equally antithetical to precedent and logic, Complainant briefly suggests other reasons why the Commission might find COSCO's actions unreasonable. None of those suggestions is serious and all are unsupported by fact, as well as contrary to case law and common sense.

Apparently realizing that it has failed to make a case on the merits, Complainant spends the largest part of its Brief seeking the assistance of the Presiding Officer – asking her to simply assume by way of adverse inferences what Complainant has failed to show. Complainant's purported basis for asking the Presiding Officer to put her thumb on the scale is that COSCO was not sufficiently forthcoming during the discovery process. But Complainant's claims about the discovery provided by COSCO are largely fictitious, and Complainant is casting stones from a glass house, given its own demonstrable discovery failures.

Complainant tries to bridge the substantial divide between what the FMC and the courts require as essential elements of a claim under 46 U.S.C. § 41102(c) and what Complainant has failed to show by proffering the repeatedly amended "expert" report of John McCown ("McCown

⁷ This is in fact exactly what VCC did, telling its agents to leave containers at the port until space opened up in its warehouse and to prioritize certain shipments, leaving other less important shipments. [RPFF61; RPFF76; RPFF77].

Report”).⁸ As shown in detail below, the McCown Report does not advance Complainant’s case one whit. Even if Mr. McCown’s unqualified legal opinions were admissible (which they are not), they are flatly inconsistent with what the Commission and the courts have held a complainant must demonstrate to prove a violation.

B. Count II: Complainant Fails to Prove a Violation of 46 U.S.C. § 41104(a)(10)

VCC avers that Respondent refused to deal with Complainant. The Brief, however, makes no effort to support the assertion that COSCO refused to deal, and VCC’s claim is specious on its face. VCC’s Brief does not identify a single instance where VCC or RIM asked COSCO to take any specific action or agree to a VCC proposal and COSCO refused. Indeed, Complainant has not even provided evidence of a single occasion when VCC or RIM asked COSCO to do anything whatsoever. The gravamen of Complainant’s quibble appears to be that COSCO did not preemptively act to alleviate VCC’s uncommunicated concerns. Surely the term “refusal to deal or negotiate” in its plain language requires some request from the complainant and cannot extend to a carrier’s failure to address an issue that has not even been brought to its attention.

C. Complainant Fails to Prove a Right to Reparations

Because Complainant has failed to prove that COSCO violated the Shipping Act, reparations are automatically foreclosed, and the Presiding Officer need not address the issue of reparations. But if she does, it is abundantly clear that Complainant has failed to prove its claim.

A complainant seeking reparations must demonstrate, with “reasonable certainty,” both the fact and the amount of injury. *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*,

⁸ References to the “McCown Report” mean the Fourth Edition of that Report, submitted as part of Complainants Appendix. As discussed below, there has been a revolving door of “amended” McCown Reports, a matter raising substantial Due Process and Administrative Procedure Act concerns.

FMC Docket No. 88-15, 25 S.R.R. 1213, 1230 (FMC 1990). In particular, a complainant “must prove with ‘competent evidence’ that [it] sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, FMC Docket No. 96-05, 29 S.R.R. 119, 187 (FMC 2001).

Any claims for reparations VCC may hold are only those assigned to VCC by RIM. Fatally to VCC’s claim, however, VCC has not demonstrated that RIM was a direct purchaser from COSCO for any of the shipments covered by the Complaint. Complainant has not entered into evidence a single invoice from COSCO to RIM. Nor has VCC submitted the proof of payment from RIM to COSCO that is necessary to qualify as an injured party under the Shipping Act. [RPFF258.] This failure to prove payment requires dismissal under established FMC precedent. *See, e.g., Government of the Territory of Guam v. Sea-Land Service, Inc.*, FMC Docket No. 89-26, 29 S.R.R. 894 (ALJ, Admin. Final 2002) and cases cited therein.

Even apart from Complainant’s failure to prove that RIM is an injured party, VCC also failed to prove either the fact or the amount of injury with “reasonable certainty” based on “competent evidence.” VCC relies for its calculation of damages entirely upon the McCown Report. But Mr. McCown is not qualified to serve as an expert, and his calculations are in any event riddled with significant errors.

V. ARGUMENT

A. A Quick Word About “Sandbagging”

Complainant’s Brief is surprisingly thin, suggesting the possibility that Complainant is saving much of its argument, and perhaps evidence, for its reply brief. This practice is known as “sandbagging” and is universally condemned both at the FMC and in the federal courts. We trust Complainant will not engage in this practice.

In *Marine Transport Logistics, Inc. v. CMA CGM, SA*, FMC Docket No. 22-23, 2024 WL 4678463 (ALJ Order on Respondent's Motion to Strike, October 30, 2024), the Administrative Law Judge granted a motion to strike argument and evidence that had not appeared in the complainant's opening brief but had been inserted in its reply. She explained:

"In general, parties are required to raise all of their arguments in an opening brief to prevent "sandbagging" that deprives the opposing party of the opportunity to respond, and not doing so constitutes a waiver of the arguments not raised in the opening brief. *Corson and Gruman Company v. National Labor Relations Board*, 899 F.2d 47, 51 n.4 (D.C. Cir. 1990) (citing *Reyes-Arias v. INS*, 866 F.2d 500, 504 n.2 (D.C. Cir. 1989)). Where, as the case is here, new arguments are raised for the first time on reply it is appropriate to decline to hear those arguments. *Ner Tamid Congregation of N. Town v. Krivoruchko*, 620 F.Supp.2d 924, 929 (N.D.Ill.2009); see also *Autotech Techs. Ltd. P'ship v. Automationdirect.com Inc.*, 235 F.R.D. 435, 437 (N.D.Ill.2006)." *Id.* at *2.

The federal courts follow the same rule. In addition to the cases cited in the above quotation, see, *inter alia*, the following: *Maier v. Rowen Grp, Inc.*, 2015 WL 273315 at *6 (N.D. Ill. 2015) ("we will not consider new arguments raised on reply. This sort of sandbagging is inappropriate, as reply briefs are for replying, not for new matters that could and ought to have been advanced in the opening brief."); *Lisa M. v. Kijakazi*, 2021 WL 4804073 (Magistrate, N.D. Ill. 2021) (citations omitted) ("Arguments raised for the first time in a reply brief are waived. It is a forbidden tactic that is disallowed everywhere. The doctrine is deemed necessary to prevent 'sandbagging'"). As such, the court in *In re Basquez*, 2020 WL 6929242 at *8 (C.D. Cal. 2020), ordered that newly proffered evidence be "stricken," explaining:

"[I]t is unfair to opposing parties for a moving party to include new evidence with a reply brief. All evidence in support of a motion should be included in the initial moving papers. In rare instances, it may be appropriate to include evidence with reply papers (i.e., if the evidence was not available when the motion was filed). But in nearly all circumstances procedural fairness requires that moving parties present all the evidence upon which they intend to rely before the deadline for which opposing parties must respond to the motion. . . Attempting to present evidence

after the opposing parties no longer have an opportunity to respond to a motion is inherently unfair and improper.”

B. Complainant Bears the Burden of Proof and There is No Basis for Adverse Inferences

i. Complainant Bears the Burden of Proof

As Complainant admits in its Brief, it bears the burden of proof in this proceeding. Brief at 3; 46 C.F.R. § 502.203.

ii. There is No Basis For Adverse Inferences

Recognizing its own failure to make out a case, VCC starts its argument and spends the single largest section of its Brief asking the Presiding Officer to tilt the playing field by creating evidentiary inferences out of whole cloth. Complainant bases its plea on the false allegation that Respondent failed to comply with the Presiding Officer’s July 31, 2024 Order on Motions to Compel.⁹ Respondent in fact complied with the July 31, 2024 Order *in full*. Accordingly, Complainant’s request for the Presiding Officer’s assistance is unsupported and without merit.

iii. Respondent Complied Fully with the July 31, 2024 Order

As Chief Administrative Law Judge Wirth has explained: “An adverse inference will not apply to discovery that Respondent answered and may not be sufficient to establish facts in the absence of any evidence suggesting that such discovery exists.” *Rana v. Franklin*, FMC Docket No. 19-03, 2020 WL 948584 at *1 (ALJ, Feb. 12, 2020). In short, mere allegations of an allegedly deficient search, without evidence indicating that a compliant search would have yielded results the requesting party hoped for, are insufficient to warrant an adverse inference. Here, Respondent complied fully with the discovery requests compelled by the Presiding Officer in accordance with an ESI Protocol and search terms agreed between the Parties. Further, Complainant has not

⁹ Complainant refers to the Order in its Opening Brief as the “July 29, 2024 Order.” There was no Order issued on that date. Respondent uses the correct date for clarity.

adduced evidence that the unspecified information it thinks is missing actually exists. Accordingly, VCC fails to provide any basis on which the Presiding Officer could grant an adverse inference.

Complainant's assertion that Respondent failed to comply with the July 31, 2024 Order is essentially fictitious. Respondent in fact complied **100 percent** with its obligations under the July 31, 2024 Order and Complainant has received every single document to which it was entitled thereunder (and then some).¹⁰

We agree with few of Complainant's alleged "facts." One we do agree with is that the July 31, 2024 Order required Respondent to produce documents responsive to RFD6 pursuant to an agreed ESI Protocol and search terms. The Parties thereafter agreed on an ESI Protocol and Respondent accepted Complainant's search terms regarding RFD6. The consequent searches resulted in three productions totaling approximately 545 documents, all of which were provided to Complainant (save two privileged documents), Bates stamped as COSCO_000101 - COSCO_001860, COSCO_001861-001863, and COSCO_001864-002089.

Complainant tries to hide this reality by casting all sorts of dust, none of which can obscure the fact that COSCO conducted the very searches agreed to with respect to RFD6 and the July 31, 2024 Order and produced three different sets of documents constituting all of the non-confidential documents identified using VCC's search terms.

Complainant continues to make the false claim that Respondent failed to perform searches using container numbers in addition to bill of lading numbers. As Complainant's Counsel well

¹⁰ Respondent is aware its first production, COSCO_0000001-0000018, included an email concerning a non-party, but this was due to Complainant's broad search request. For the same reason, later productions included correspondence between RIM and COSCO unrelated to VCC's shipments.

knows, however, Respondent ran **both** searches – one using the bill of lading number and the other using the container number. Although Respondent’s Counsel was admittedly somewhat confused about this at first, COSCO did in fact search by container number. This information was expressly conveyed to Complainant’s Counsel by a November 4, 2024 email stating: “As it relates to the search of the container numbers in the VCC00005 spreadsheet, these WERE searched along with the MBL numbers.”¹¹

Complainant also makes vague noises about something called “shaperdiem,” asserting that Respondent did not include it within the custodians Respondent searched in response to the July 31 Order. While “shaperdiem@coscon.com” appears to be a traditional email address, it is not. Rather, “shaperdiem@coscon.com” is a special email address in that it is a distribution list containing only traditional email addresses. Thus, it cannot be directly searched with search terms because it does not contain any correspondence and only includes traditional email addresses. Incoming messages to “shaperdiem@coscon.com” are distributed to the email addresses on the distribution list to research and respond, and when someone on the “shaperdiem@coscon.com” responds, this correspondence is then recorded on the U.S. customer service portals such as LALB and NAOC Houston. Respondent did in fact search **all** of the locations in its system where complaints about detention and demurrage might reasonably be found, which included any of the correspondence from “shaperdiem@coscon.com.”

Accordingly, Complainant has no legitimate grievance with respect to the searches conducted by Respondent in response to the July 31 Order, and there is absolutely no basis for the Presiding Officer to put her thumb on the scale in favor of Complainant.

¹¹ Complainant’s Counsel attempts to feign confusion about what this email means, using the dubious ploy of truncating the above quotation.

iv. **VCC's Vague Assertions Regarding its Second Supplemental Document Requests**

On October 10, 2024, well *after* the September 9, 2024 deadline for serving supplemental discovery requests had passed, Counsel for Complainant emailed a supplemental request for additional searches/document production. Despite the impermissibly belated nature of the requests, Respondent conducted searches but did not find any responsive documents and relayed this information to opposing counsel.

Even if Respondent had declined to search, which it did not, this would be insufficient as a matter of law to permit the Presiding Officer to make up an adverse inference. As Chief ALJ Wirth has again explained, an adverse inference cannot be drawn regarding discovery requests unless a motion to compel for that specific information was filed *and granted*. *Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority of New York and New Jersey*, FMC Docket No. 17-07, 1 FMC2d 264, 266 (I.D., denying motion for adverse inference, 2019) (emphasis added). Although Complainant here did file a belated motion to compel, that motion has not been ruled upon, so Complainant's request for an adverse inference must be rejected.

v. **Complainant's Miscellaneous Quibbles**

Complainant alleges that Respondent "has not produced any emails." Brief at 12. This is again false. Respondent produced emails both in its first production, COSCO_0000001-0000018, and in its fourth production, COSCO_000101 - COSCO_001860. If what Complainant means to say is that there is a paucity of emails between VCC or RIM on the one hand and COSCO on the other relating to these specific shipments, that is likely because, as shown above, neither VCC nor RIM was a customer of COSCO for these shipments. [RPFF245 – RPFF249.] COSCO's customers were instead, various contract holders located in Asia. [RPFF236.]

Complainant alleges that “COSCO failed entirely to identify these custodians [Tom Takase, Christine Smith and Phil Taylor] before the October 9 deposition” of Mr. Takase. Brief at 12. These custodians were not identified because Respondent thought it unlikely that they would have responsive documents, and when these custodians were searched, “[n]o responsive documents were found.” Thus, even if COSCO erred in not identifying these persons earlier, the error was plainly harmless.

The two requests as to which Respondent objected were effectively the same, and clearly irrelevant. Complainant asked for service contracts between COSCO and so-called “[REDACTED]”¹² But the Presiding Officer has ruled that COSCO service contracts with parties other than RIM are not relevant and need not be produced: “Without a cogent argument regarding the relevance of third-party service contracts or other confidential agreements, including case authority, only the RIM agreement must be provided.” July 17, 2024 Order at 8. Furthermore, quarrels about differing treatment of service contract customers are discrimination claims, neither made in the Complaint nor (as shown below) legally cognizable under the Shipping Act.

vi. Complainant’s Cavil About COSCO 000001-000018 is Moot

Complainant also asks the Presiding Officer to preclude Respondent from introducing emails COSCO *did* produce to Complainants. This is entirely backwards from the norm, as it is usually held that a party may not introduce documents that it *did not* produce. As stated above, Respondent in fact produced all emails it identified using Complainant’s search terms. Further, if additional emails between RIM and COSCO existed, RIM would have a copy and would have

¹² Although COSCO employees do sometimes use this general industry term, “[REDACTED] [REDACTED]” has no formal meaning within COSCO. CX737 (Takase Dep.) at 66: 3-10.

provided them to VCC.¹³ In any event, the matter is moot, as Respondent has not used the emails herein.

C. Complainant has Failed to Prove a Claim Under 46 U.S.C. § 41102(c)

Count I of the Complaint avers that Respondent violated 46 U.S.C. § 41102(c)¹⁴ by an unreasonable practice of charging detention and demurrage at a time when ports were congested, and it was difficult for shippers/consignees/truckers to timely pick up import cargo or return empty containers. Compl. ¶35. As VCC itself has admitted, no detention or demurrage was assessed by COSCO directly to VCC. [RPFF262.] Further, as demonstrated below, Complainant has not provided any evidence, much less proof, that COSCO assessed such charges against RIM, either. Neither VCC's Brief nor its Appendix includes a single invoice for such charges from COSCO to RIM; nor does VCC present any proof that RIM paid such charges to COSCO. [RPFF256; RPFF258.] Although these points are dispositive, we nevertheless rebut each of Complainant's specious claims.

i. A Short Interjection about Detention and Demurrage

Because the crux of this case is detention and demurrage charges allegedly imposed by COSCO, we offer a brief summary about those charges and the benefits that flow therefrom.¹⁵

¹³ Respondent requested such documents from RIM by subpoena, but RIM produced none, again indicating that such documents do not exist.

¹⁴ That section states: "(c) Practices in Handling Property. —A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." As previously explained above, Complainant's reference to 46 C.F.R. § 545.5 and the Interpretive Rule (which are actually the same thing) are not separate claims of violation, as they are merely interpretive guidelines.

¹⁵ We note, as discussed further below, that "storage charges" are not the same as detention or demurrage and are typically imposed by terminals and inland transportation providers (railroads, truckers), not ocean carriers.

Both detention and demurrage are charges relating to a shipper's use of carrier equipment, specifically containers. Detention is a charge assessed by an ocean common carrier when the shipper fails to return the carrier's container within a period specified in the ocean carrier's applicable tariff and/or service contract. [RPFF121.] As the D.C. Circuit explained: "detention charges provide an incentive for the timely return of equipment and compensate the ocean carrier for the opportunity cost of its late return." *TCW, supra*, 106 F.4th at 1115.¹⁶ The Commission has focused especially on the incentivizing effect of detention.¹⁷

Demurrage is a similar charge for a shipper's failure to timely remove a loaded container after it has been discharged from the vessel and made available for pickup. [RPFF117]. Like detention, it serves to promote the timely removal of cargo and to compensate the ocean carrier for the use of its container. [RPFF118.]

The point of this brief recitation is not because it is Respondent's burden to demonstrate that the challenged charges served their intended purposes (although they did), but rather to help explain the significant hurdle Complainant must surmount to prove that they *did not*. VCC has not even attempted to surmount that hurdle, much less cleared the bar.

ii. The Required Elements of a 46 U.S.C. § 41102(c) Claim

As the Presiding Officer recognized at the May 16, 2024 Status Conference (referring to expert testimony as "far afield"), the Commission and courts have adopted a framework for

¹⁶ Complainant's "expert" claims that there were no lost opportunity costs relating to VCC's late picked up and later returned containers. But as we show below, Mr. McCown missed (probably was unaware of) critical facts and so his "analysis" is not just flawed, but dead wrong. In any event, it is sufficient as a matter of law that the charges were clearly incentivizing.

¹⁷ See, e.g., *Free Time And Demurrage Charges At New York*, 3 USMC 89 (1948). Demurrage charges have a dual composition consisting of an element of compensation for the storage of property and an element of penalty to induce its removal. *Chrysler Corp. v. N. Y. Central R Co.*, 234 ICC 755, 759 (1939).

deciding when an assessment of detention or demurrage charges violates 46 U.S.C. § 41102(c). See *TCW, supra*. Pursuant to that framework, the Commission (and courts) looks at individual shipments and individual days to determine whether the ocean common carrier improperly charged detention or demurrage for particular days. For a complainant to make out a statutory violation for unreasonable detention/demurrage charges under existing legal standards, a complainant must show, for each specific shipment and for each day for which a charge was assessed, that: (1) the complainant (or its agent) could not pick up or return the container on the specific date for reasons outside of their control; and (2) the charge assessed for that specific day could not have served to incentivize cargo movement.

The Commission in *TCW* emphasized the Incentive Principle as expressed in 46 C.F.R. § 545.5, explaining that: “in general the Commission will consider the extent to which [charges] are serving their intended primary incentivizing purpose.” 5 F.M.C. 2d at 200. It further found that a charge could not serve an incentivizing purpose if the complainant could not return a container on a particular day, for example, if the port were closed. In this respect it stated, *inter alia*:

“The SCO correctly found that the per diem charges were unreasonable because ‘they could not have incentivized cargo movement given that the port was closed on those days, ***making it impossible for Claimant to return the equipment.***’” 5 F.M.C. at 200-01 (emphasis added).

The Commission held that the ocean common carrier had improperly charged detention for the specific days when the port was closed but allowed the assessment of detention on days when the port was open. Thus, the Commission expressly recognized that the propriety of such daily charges could be addressed only by reference to the specific days for which they were charged, to see if the complainant were precluded from picking up or returning a container for reasons beyond its control, such as closure of the relevant facility.

The D.C. Circuit agreed with the Commission that it is important to consider the incentivizing purpose of a specific charge. But it disagreed entirely with the Commission's conclusion that inability to pick up or return a container on a particular day is, by itself, sufficient to determine whether a particular charge did or did not incentivize cargo flow, concluding that the Commission "failed . . . adequately to analyze the effect of the detention charges at issue here." *TCW*, 106 F.4th at 1114. In this respect, the court decided that Commission's single-factor analysis was overly simplistic, holding instead that a determination as to whether a particular charge for a particular shipment on a particular day violated 46 U.S.C. § 41102(c) requires a fact-intensive inquiry into all of the relevant facts concerning the container. In particular, the D.C. Circuit stated, for example, that: "It was arbitrary and capricious for the FMC to commit to making a circumstantial, fact-bound inquiry in the interpretive rule and then, when it came time to apply the rule, to jettison all but its favorite factor." 106 F.4th at 1118. Likewise, the court found that the Commission's reasoning was:

"charitably put, implausible. Bright line rule or not, the Commission errs insofar as it maintains a detention charge necessarily lacks any incentivizing effect because it is levied for a day on which a container cannot be returned to a marine terminal. On the contrary, being charged for detention during a port closing announced before the carrier picks up the equipment heightens the incentive to return equipment on time." *Id.*

Thus, under the court's holding in *TCW*, the Commission may not simply assume, as it had earlier in that proceeding, that the assessment of detention charges lacks incentivizing effect on dates when the complainant was unable to return containers. Instead, the Commission must analyze all of the relevant facts and circumstances pertaining to that container on that date to see if the charge might promote container flow. In particular, the court said that the Commission must

consider, *inter alia*, whether a charge for Saturday or Sunday incentivizes a shipper to return the container on Friday (or earlier).¹⁸

As the above discussion demonstrates, both the Commission's and the D.C. Circuit's decisions in *TCW* make clear beyond all peradventure that a claim for unreasonable assessment of detention or demurrage charges must be evaluated on a shipment-by-shipment, date-by-date basis. Even if return of a particular container may be impossible on one day, return may well be possible the next day (or the day before). And, as the D.C. Circuit held, the Commission may not automatically eliminate charges for days when the facility is closed, at least not when the closure was known in advance, but must instead weigh all of the particular facts and circumstances to determine whether a specific day's charge is consistent with or the incentive principle, including by incentivizing an earlier return.

The inescapable conclusion that a complainant claiming a violation of 46 U.S.C. § 41102(c) must prove that claim by addressing specific shipments and specific dates for which per diem was charged is supported by additional FMC precedent. In *Hapag-Lloyd, A.G. -- Possible Violations of 46 U.S.C. § 41102(c)*, FMC Docket No. 21-09, 4 FMC 2d 53, 94 (I.D. 2022), for example, Chief ALJ Wirth found it necessary to look at the alleged violations of the Shipping Act on a container-by-container **and** day-by-day basis, concluding that "BOE did not establish a violation for all eleven shipments or for all days of detention." Accordingly, she found violations of 46 U.S.C. § 41102(c) only for **some shipments** on **some days**. More recently, Chief ALJ Wirth stated that an allegation of a violation of 46 U.S.C. § 41102(c) concerning multiple shipments made it "likely

¹⁸ The court's conclusion, quoted above, that charging more for failure to return a container provides a greater incentive than charging less is inescapable as a basic matter of economics and common sense, as well as a linchpin of all penalty systems, including the Commission's own system for assessing civil penalties.

that [complainant] would need to establish an inability to return each container.” *Access One v. COSCO*, FMC Docket No. 24-13 (ALJ Order Denying Partial Motion to Dismiss, June 4, 2024). This is, of course, the usual method the FMC uses for determining violations concerning a respondent’s actions respecting multiple shipments. See *Anderson International Transport – Possible Violations*, FMC Docket No. 07-02, 32 S.R.R. 1678 (FMC 2013) (shipment-by-shipment review of whether respondent violated Shipping Act by acting as an unauthorized NVOCC).

iii. Complainant Has Failed to Prove Any of the Essential Elements

Complainant has failed entirely to prove a violation under the above standards. Indeed, it has not even attempted to demonstrate any of the essential elements thereunder. Instead, VCC has intransigently pretended that such standards do not exist.

Complainant’s implicit argument is that a violation may be found based on the mere fact that there was general port congestion during the relevant time period. It thus asks the Presiding Officer to overrule the D.C. Circuit, which demanded much more in *TCW*. Specifically, as discussed above, the court required the Commission to engage in a “circumstantial, fact-bound inquiry” into the specific facts surrounding each claim that a particular detention or demurrage charge was unreasonable, including whether the complaining party was unable to retrieve or return a container through no fault of its own. *TCW, supra*, 106 F.4th at 1118.

Although VCC has identified certain shipments that it believes to be covered by the Complaint, it has not demonstrated *for any one of those shipments* that VCC (or its agent) was unable to pick up or return the container on a specific day for which a charge was assessed.¹⁹ Still

¹⁹ Indeed, VCC itself has identified that it was not assessed detention or demurrage on the vast majority of containers it implies COSCO carried. See CX1221-CX1237 (included in Complainant’s Appendix, but not cited in its Brief).

less has it demonstrated that such failure to timely pick up or return a container was outside the control of VCC (and presumably RIM or its agents). Moreover, Complainant has not demonstrated either that COSCO invoiced anyone for detention and demurrage charges relating to shipments destined for VCC or to what entity the charge was invoiced.²⁰

Finally, Complainant has entirely ignored the requirement imposed by the D.C. Circuit, that Complainant demonstrate for each specific container and date at issue that the imposition of a detention or demurrage charge would have impeded, rather than incentivized, the flow of cargo and containers.

Complainant's position that the Commission may just presume that detention and demurrage are improper during times of port congestion flies in the face of what the Commission and court held in *TCW*. As the court stated (quoting in part from the Commission):

“The efficiency of the system, which the FMC terms its “freight fluidity,” depends upon prompt return to port of borrowed equipment for its shipment back to Asia. See, e.g., *Impacts of Shipping Container Shortages, Delays, and Increased Demand on the North American Supply Chain: Hearing Before the Subcomm. on Coast Guard & Maritime Transport of the H. Comm. on Transp. & Infrastructure*, 117 Cong. 39 (2021) (written statement of John W. Butler, President & CEO, World Shipping Council).

“Any breakdown in the operation of this cycle can have costly ripple effects. . . . If the number of unreturned containers builds up over time, then there will be a shortage in the supply of containers available to pick up shipments. ***In the Commission's own words, “congestion begets further congestion, which in turn may result in higher costs for everyone in the supply chain.”*** Federal Maritime Commission, Report: Rules, Rates, and Practices Relating to Detention, Demurrage, and Free Time for Containerized Imports and Exports Moving Through Selected United States Ports, at 21 (2015).” *TCW*, 106 F. 4th at 114 (emphasis added).

²⁰ As previously noted, Complainant has not submitted a single invoice showing any charges to anyone. Accordingly, the record is devoid of evidence that COSCO invoiced detention and demurrage at all, much less that it billed RIM, whose claims VCC is litigating.

Thus, both the Commission and the court have recognized that mere port congestion cannot, by itself, be a reason to eliminate detention and demurrage, as those very charges serve to reduce the extent to which “congestion begets further congestion.”

Because Complainant has failed to demonstrate (or even attempted to do so) any, much less all, of the elements it is required to prove as a matter of law, and because Complainant’s proposed substitute for established precedent is inadequate as both a matter of law and of fact, Complainant’s claim under 46 U.S.C. § 41102(c) must be rejected as unproven, unsupported by evidence, and untethered to reality.

D. The McCown Report Cannot Substitute for the Essential Elements Required by the Commission and Courts

Instead of addressing the standards set by the Commission and the courts, Complainant proposes an alternate universe, based on the opinions of its purported “expert,” John McCown, with respect to what the Shipping Act *should* say. Mr. McCown directly disagrees with both the Commission and the courts regarding interpretation of 46 U.S.C. § 41102(c). He dispenses entirely with the essential elements the FMC and D.C. Circuit have required to prove such a claim and instead asserts that there is no need to review specific shipments or specific charges on specific dates at specific terminals, much less analyze the effect of those charges on the flow of commerce. He even goes so far as to call the Commission and D.C. Circuit “disingenuous” for believing that detention and demurrage must be evaluated for specific shipments, charges, and dates. CX558 (McCown Rpt. at 33).

Although Mr. McCown’s arcane calculations are largely incomprehensible, his basic contention is that he can evaluate the reasonableness of a demurrage or detention charge, based not on any circumstances relating to the specific charge, but rather, based on (what he believes to

be) the ocean carrier's total revenues from such charges, to pronounce whether those charges are reasonable or not. Even overlooking Mr. McCown's erroneous data and implausible calculations, his proposal is nothing less than an attempt to usurp the role of the Commission (the expert agency created to address such matters).

VCC's efforts to hide behind the McCown Report, rather than address the required elements of its underlying claims, miss the mark for multiple reasons.

- The regulatory framework proposed by Mr. McCown is antithetical to the real regulatory framework, as articulated by the Commission and the courts.
- There is no reason for the Presiding Officer even to consider the McCown Report. The is plainly inadmissible because it is neither relevant nor reliable, and so must be stricken.
- Even if the McCown Report were admissible, it should be precluded due to Complainant's serious misconduct in obscuring documents highly relevant to Respondent's defense.

i. The McCown Report and Testimony Contradict the Established Requirements for a 46 U.S.C. § 41102(c) Claim

As shown above, the Commission and the courts have established definitive standards for proving a claim under 46 U.S.C. § 41102(c). To reiterate, a would-be complainant must prove, for each specific shipment and for each day for which a charge was assessed, that: (1) the complainant (or its agent) could not pick up or return the container on the specific date for reasons outside their control; and (2) the charge assessed for that day could not have served to incentivize cargo movement.

Mr. McCown asserts that a detention or demurrage charge is *per se* unreasonable when the complainant was unable to return a container on a particular day. *See, e.g., CX557* (McCown Rpt. at 32, Para. 75). But that is the exact position the D.C. Circuit rejected in *TCW*. As discussed above, the court specifically held that the FMC **may not** apply any such *per se* or "bright line" rule, but

rather must conduct a “circumstantial fact-bound” examination of the incentive for each individual day, including whether charging for a day when the party could not return a container could have incentivized an earlier return. Because Mr. McCown’s argument is contrary to the decision in *TCW*, it must be rejected.²¹

Even if the McCown Report were not disqualified as contrary to the law, it would have to be rejected as irrelevant. Most of Mr. McCown’s Report, even apart from comprising prohibited legal assertions, is addressed to matters well outside the purview of the Commission. Mr. McCown mostly discusses revenues, not charges. But under the standards set by the FMC and the courts, the test of a detention/demurrage charges is not based on the amount of those fees or the revenues that may or not be provided, but rather on the question whether the charges provide an incentive to encourage timely pickup or return of containers.

Moreover, it is decidedly irrelevant under the Shipping Act how much money a carrier makes. Congress deliberately chose not to confer on the Commission any authority over profits or prices in the U.S.-foreign trades.²² The Presiding Officer recognized the irrelevance of revenues and profits at the May 16, 2024 Status Conference and in her July 17, 2024 Order,²³ and Chief

²¹ Even if legal opinions were permissible, Mr. McCown would be disqualified from providing them, not just for his lack of legal training, but also the fact that he is either unaware of or ignores the D.C. Circuit’s decision in *TCW*.

²² Although the FMC has never had authority to determine the “reasonableness” of prices, revenues, or profits for ocean transportation in the U.S.-foreign trades, it did at one time have such authority over transportation in the offshore domestic trades (e.g., U.S. Mainland to/from such places as Hawaii, Guam, and Puerto Rico). *See, e.g., The Government of the Territory of Guam, et. al. v. Sea-Land Service, Inc. and American President Lines, Ltd.*, FMC Docket No. 89-26, 2003 WL 27376001 (August 29, 2003) (Final Commission Order issued July 11, 2005). Congress removed that authority from the FMC in 1995 and conferred that authority instead on the Surface Transportation Board. ICC Termination Act of 1995, Pub. L. No. 104–88, § 201, 109 Stat. 803, 932–34 (1995).

²³ At the May 16 Status Conference, the Presiding Officer referred to Complainant’s proposal to substitute expert testimony for a factual showing regarding individual shipments and days as “far

ALJ Wirth recently explained: “Making a profit or increasing income, without more, would not violate the Shipping Act.” *Samsung Electronics America, Inc. v. Zim.*, Docket No. 22-30, 2023 WL 4060326, at *2 (ALJ) (Order Denying Motion to Compel Deposition) (June 9, 2023).

Mr. McCown also asserts discrimination between VCC and extremely large shippers, such as Walmart, Home Depot, and Target. CX337 (McCown Dep.) at 234:12-21. Contrary to his Report: (i) Mr. McCown has absolutely no idea (and certainly no evidence) how COSCO treats those customers (ii) VCC considers itself to be a substantial shipper;²⁴ (iii) the Complaint makes no claim of unlawful discrimination; (iv) Congress deliberately chose to preclude claims of discrimination between service contract shippers; and (v) neither VCC nor RIM had a service contract for these shipments and the contract holders are not party to this proceeding.

In any event, the Shipping Act specifically excludes claims that an ocean carrier treated one service contract holder differently from another. In 1998, Congress amended the Shipping Act specifically to authorize discrimination among service contract holders.²⁵ The 1998 Amendments also limited the prohibitions on discrimination or preference/prejudice for service pursuant to a service to discrimination or preference/prejudice to discrimination “*with respect to any port.*” 46

afield.” Likewise, in the Presiding Officer’s July 17, 2024 Partial Order on Motions to Compel, she stated that, at the May 16 Conference: “I told Complainant that I did not think requests for generalized data regarding COSCO’s income, revenue, and the like were relevant, and Complainant has not convinced me (or even argued) that such documents are relevant to this proceeding for the timeframe sought.” Partial Order at 9.

²⁴ Compl. ¶6: “VCC has been a leader in lighting products. . . .” [RPFF7-RPFF11.]

²⁵ See *Report of the Committee on Commerce, Science, and Transportation on S.414* (Report 105-61) at 28. (July 31, 1997) (“In addition to eliminating the current requirement in section 8(c) of the 1984 Act that ocean common carriers provide the same service contract terms to similarly situated shippers, the bill narrows the application of the prohibited acts with respect to service pursuant to common carrier service contracts”).

U.S.C. § 41104(a)(5), (a)(9) (2021) (emphasis added). The narrow meaning of discrimination with respect to ports was, as explained by the drafters, intended only to:

“protect localities from unjust discrimination... The Committee intends the application of these prohibitions to a locality to be limited to circumstances in which the prohibited actions are clearly targeted at the locality, not to circumstances where the actions are targeted at a particular shipper...the amendments made by this section would retain similar protections for ports from unjust discrimination...”
Report of the Committee on Commerce, Science, and Transportation on S.414
(Report 105-61) at 28 (July 31, 1997).

This substantial limitation on the Shipping Act’s discrimination prohibitions has been repeatedly reaffirmed by the Commission.²⁶ In *OJ Commerce, LLC v. Hamburg Sud.*, FMC Docket No. 21-11, 2022 WL 4017209 (ALJ Order on Respondents' Motions to Partially Dismiss, August

²⁶ At the time the Ocean Shipping Reform Act of 1998 (“OSRA 1998”) was under consideration, the Commission clearly understood that OSRA 1998’s legislative changes would expressly “authorize carriers . . . to discriminate in unjust or unreasonable ways in their contracting.” In March 1997, then-FMC Chairman Harold Creel testified before the Subcommittee on Surface Transportation and Merchant Marine of the Senate Committee on Commerce, Science, and Transportation:

“Section 10(b)(9) would also allow carriers and conferences to subject shippers, forwarders, ports and others to “undue or unreasonable prejudice or disadvantage.” These prohibited acts formerly applied to all service contracts. Under the bill they apply to none.

While I appreciate that service contracts are inherently “discriminatory” in that the signatories get better deals than non-signatories, these prohibited acts proscribe unjust discrimination and unreasonable prejudice. There is no reason to authorize carriers and conferences to discriminate in unjust or unreasonable ways in their contracting. For example, a foreign carrier should not discriminate against a U.S. shipper in order to promote a fellow national. Nor should ports be lawfully subjected to unduly, unreasonably prejudicial preferences. I would therefore urge that Congress carefully consider whether carte blanche authority for carriers and conferences to unjustly and unreasonably disadvantage shippers, ports and forwarders is truly in the best interest of the United States.” Remarks of FMC Chairman Harold J. Creel Jr. (March 20, 1997).

The Senate Committee did accept some of the Commission’s suggestions (*i.e.*, to restore reasonableness protections to protect ports, and to regulate multi-carrier contracts). However, the Senate largely held firm to its deregulatory objectives, and thus did not restore the FMC’s power to regulate the reasonableness of individual service contracts and service pursuant thereto.

31, 2022, admin. final October 6, 2022), for example, Chief ALJ Wirth dismissed claims of discrimination because the alleged conduct by the ocean carrier was aimed at a shipper, not a port. Likewise, in *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, FMC Docket No. 13-07, 33 S.R.R. 512, 529-30 (I.D. Granting Motion to Dismiss in Relevant Part 2014), then-Chief ALJ Guthridge dismissed for failure to state a claim a complaint that the respondent had engaged in unlawful discrimination by providing complainant a worse service contract rate than it provided other, similarly situated service contract shippers. In this regard, Judge Guthridge stated that, as modified in 1998: “*The Shipping Act permits a carrier to charge different rates in service contracts with similarly situated shippers.*” *Id.* at 529 (emphasis added).

ii. Mr. McCown’s Report and Testimony Should be Stricken as Inadmissible

Although the McCown Report is, if considered, insufficient to save the day for Complainant, there is in fact no reason for the Presiding Officer to consider, much less credit, the McCown Report (found at CX525-CX561) and Mr. McCown’s testimony (Mr. McCown’s September 26, 2024 deposition, located at CX103-CX348). That Report and testimony are inadmissible under the prevailing standards governing admission of expert testimony. The FMC is, of course, the expert agency that administers the Shipping Act, and as such, hardly needs assistance on matters of law from an inexperienced and unqualified “expert.” Accordingly, as detailed below, the Presiding Officer should strike the McCown Report and Mr. McCown’s testimony from the record.

iii. Standards for Admission of Expert Testimony

1. Burden of Proof

The FMC’s Rules of Practice regarding use of “expert” testimony, 46 C.F.R. § 502.141(d), are nearly identical to the Federal Rules of Evidence, Rule 702 (“FRE702”). Under FRE702, “the

trier of fact [here, the Presiding Officer] is to perform a ‘gatekeeping’ function concerning the admissibility of expert evidence.” *United States v. Frazier*, 387 F.3d 1244, 1260 (11th Cir. 2004) (citing *Daubert v. Merrell Dow Pharms., Inc.*, 509 U.S. 579, 589 n.7 (1993)); see *Marine Repair Services of Maryland, Inc. v. Ports America Chesapeake, LLC*, FMC Docket No. 11-11, 2013 WL 9808672, at *23 (ALJ, admin. final 2013). The proponent of the “expert” opinion bears the burden of establishing “qualification, reliability, and helpfulness.” *Daubert*, 509 U.S. at 592, 592 n.10.

2. Daubert Standards

The leading case on qualification of experts is *Daubert v. Merrell Dow Pharms., Inc.*, 509 U.S. 579 (1993). Under *Daubert*, expert witness testimony must, *inter alia*, be both (1) **relevant** and (2) **reliable**. *Id.* at 590. To be qualified as an expert, a witness must possess “specialized knowledge” obtained through “knowledge, skill, experience, training or education” in the field in question.²⁷ Notably, a witness must demonstrate their proficiency in the specific matter as to which they propose to testify, not a more general expertise in other areas. *Carnegie Mellon Univ. v. Marvell Tech. Group, Ltd.*, 286 F.R.D. 266, (W.D. Pa. 2012) (admitting patent expert’s opinion on general market matters but excluding his opinion on technical aspects).²⁸ See, e.g., *Astra Aktiebolag v. Andrx Pharms., Inc.*, 222 F. Supp. 2d 423, 489 (S.D.N.Y. 2002) (For a witness who is “not qualified as an expert” in the field governing the “topics covered in his testimony,” “that

²⁷ See, e.g., *In re Omeprazole Patent Litig.*, 490 F. Supp. 2d 381, 402 & n.9 (S.D.N.Y. 2007) (citing *In re Paoli R.R. Yard PCB Litig.*, 35 F.3d 717, 741 (3d Cir. 1994)). The courts have “not pursued a policy of qualifying any proffered witness as an expert.” *Waldorf v. Shuta*, 142 F.3d 601, 625 (3d Cir. 1998).

²⁸ To like effect, see *Soldo v. Sandoz Pharm. Corp.*, 244 F. Supp. 2d 434, 568 (W.D. Pa. 2003) (excluding doctor from testifying outside his specialty); accord, *Pell v. E.I. DuPont De Nemours & Co.*, 231 F.R.D. 186, 192 (D. Del. 2005), *Redman v. John D. Brush & Co.*, 111 F.3d 1174, 1179 (4th Cir. 1997), *Barrett v. Atl. Richfield Co.*, 95 F.3d 375, 382 (5th Cir.1996).

testimony cannot possibly meet the requirements mandated by *Daubert*”), *aff’d sub nom, In re Omeprazole Pat. Litig.*, 84 F. App’x 76 (Fed. Cir. 2003).

iv. Mr. McCown’s Report and Testimony do not Meet the Standards

1. Mr. McCown’s Report and Testimony are Not Relevant

Under *Daubert*, expert testimony must be *relevant* to the issues before the tribunal. Mr. McCown’s Report and testimony do not meet that requirement, as they totally ignore the legal framework created by the Commission and courts.

As demonstrated above, and as the Presiding Officer has recognized, there is already a framework in place (established by the Commission and modified by the courts in *TCW*) for evaluating whether an assessment of detention or demurrage charges violates 46 U.S.C. § 41102(c). Under that framework, as detailed above (Section III(B)), the Commission and courts review individual shipments and individual days to determine whether, for a particular shipment, the complainant has proven that: (i) the ocean common carrier charged detention or demurrage for a specific date on which the billed party could not pick up a full container or return an empty container for reasons beyond its control, and (ii) the carrier’s imposition of the charge for that day could not serve to incentivize container movement.

The McCown Report does not even purport to address the legal requirements imposed by the FMC and expanded by the D.C. Circuit in *TCW*. Indeed, the Report does not mention *TCW* at all. Instead, it simply rejects the *TCW* framework as “disingenuous” and purports to apply an incomprehensible alternate test based mainly on revenues. Thus, for the same reason that the Report must, as shown in Section III(D)(1), above, be rejected, it must also be deemed inadmissible as irrelevant to the matter at hand.

Mr. McCown proposes this end run around the statutory requirements to obviate any need for him to address the actual facts of the matter, as to which he has no inkling. Indeed, Mr. McCown

was unsure of which ports were at issue here (the U.S. ports where cargo was discharged enroute to VCC), much less the relevant terminals within those ports. CX112 (McCown Dep. at 9). Still less did he know the status of those ports or terminals on any given day for which VCC asserts a violation of the Shipping Act. CX261 (McCown Dep. at 158:1-15).

Nor are Mr. McCown's assertions about COSCO's performance vis-à-vis the rest of the industry relevant to the issues under 46 U.S.C. § 41102(c). Whether COSCO performed better or worse than other ocean carriers, even if accurate (which it is not), does not facilitate the Presiding Officer's task of determining whether, for certain shipments at certain terminals and on certain dates: (i) COSCO assessed charges against RIM on occasions where RIM could not pick up or return the containers for reasons outside its control, and (ii) those charges impeded container flow.

Mr. McCown further suggests that the reasonableness of COSCO's detention and demurrage charges to VCC may be evaluated by comparing them to similar charges assessed by COSCO to other customers. CX555 (McCown Rpt. at 30, Heading IX). We have already shown that this is irrelevant as a matter of law because the Complaint does not assert a violation of the anti-discrimination provisions of the Shipping Act and because the Shipping Act specifically precludes claims of discrimination between service contract holders. It is also wrong as a matter of fact, because Mr. McCown included non-COSCO storage charges as COSCO detention/demurrage and because COSCO had no way of knowing which shipments were destined for VCC, and which were destined to other customers of RIM. Accordingly, in the unlikely event that there is some actual difference between RIM's VCC shipments and shipments for other customers, such difference must be attributable to different circumstances, rather than any intention on the part of COSCO to treat VCC differently. Nor does Mr. McCown suggest that RIM

was treated differently when working for VCC than when working for other RIM customers, which necessarily means his assertion has no merit.

2. Mr. McCown's Statements Are Largely Prohibited Opinions About Law or About Respondent's Intent

Another reason the McCown Report and testimony fail the *Daubert* relevance test is that both consist primarily of forbidden testimony about (1) U.S. law or (2) Respondent's state of mind.

(a) Prohibited Opinions of Law

Much of the McCown Report, as well as his testimony is not about facts – even loosely defined – but rather about Mr. McCown's opinions as to what the law *should be*, Commission and judicial precedent notwithstanding. Even if Mr. McCown were qualified to opine on legal issues, which he decidedly is not,²⁹ the FMC needs no assistance in interpreting and applying the Shipping Act. And courts across the country recognize that expert testimony about U.S. law is prohibited. Specifically, experts “may not testify to the legal implications of conduct” or “tell the [finder of fact] what result to reach.” *Montgomery v. Aetna Cas. & Sur. Co.*, 898 F.2d 1537, 1541 (11th Cir. 1990). Such legal conclusions “in no way assist[] the trier of fact.” *Cooper v. Pacific Life Ins. Co.*, 2007 WL 430730, at *1 (S.D. Ga. Feb. 6, 2007).³⁰ But legal opinion is about all the McCown Report has to offer.

²⁹ See CX116 (McCown Dep. at 13:6-13).

³⁰ See, e.g., *Specht v. Jensen*, 853 F.2d 805, 807 (10th Cir. 1988) (en banc) (citing Fed. R. Evid. 704, Advisory Cmt. Notes (1975 Enactment) (“Legal opinions are categorically unhelpful because, *inter alia*, they direct the jury towards reaching a particular conclusion, which risks impermissibly usurping the role of the jury altogether.”); *United States v. Bilzerian*, 926 F.2d 1285, 1294 (2d Cir. 1991) (“As a general rule an expert's testimony on issues of law is inadmissible.”); *United States v. Melvin*, 508 F. App'x 209, 211 (4th Cir. 2013) (“An expert generally is not permitted to apply law to facts to reach a legal conclusion, as such testimony is not considered helpful.”); *Estate of Jeffrey Melvin v. City of Colorado Springs, Colorado*, 2024 WL 2958950, *3 (D. Colo 2024) (“Consequently, courts routinely exclude expert opinions that assert how the law should be applied.”).

Even a cursory glance at the table of contents proves that much of the McCown Report is a transparent attempt to testify regarding the legal implications of Respondent's alleged conduct, rather than a genuine effort to assist the Presiding Officer by clarifying disputed facts (or discussing facts at all). Thus, the McCown Report repeatedly makes assertions as to whether Respondent's alleged conduct meets the unreasonableness standard of 46 U.S.C. § 41102(c).³¹

We do not wish to belabor the point by reviewing each and every instance where Mr. McCown improperly posits what the law is or should be, so we offer just a few salient examples. First, Paragraph 56 (CX547-CX548) of the McCown Report, states:

“It is incumbent on the carrier to have all the necessary assets, including ships, equipment and terminals, to provide the service that it has contracted to provide. If that requires additional expense or capital investment, that is the obligation of the carrier and not the customer.”

Not only is this assertion a patent conclusion of law (though devoid of any citation whatsoever) but it is also *entirely* wrong. In fact, the Commission has specifically held to the contrary: that when demand exceeds capacity, an ocean carrier *may* legally prorate its existing capacity among its users in an equitable manner. *See e.g., Banana Distributors, Inc. v. Grace Line*, 5 F.M.B. 615 (1959) (cited with approval in *Fact Finding Investigation No. 23 - Ocean Common Carrier Practices In the Transpacific Trades*, 1998 WL 940278, at *1 (1998)).

Similarly, in Paragraph 53, Mr. McCown asserts that “VCC was not the *responsible* party and as such the charges by COSCO were a *direct violation* of the incentive principle.” CX546 (McCown Rpt. at 21). Even ignoring the undisputed facts that (1) COSCO sent no invoices at all to VCC and (2) Complainant has not introduced any invoices from COSCO to RIM, Mr.

³¹ Heading V, for example, says that “COSCO's revenue per diem . . . makes the unsupportable VCC billings even more unreasonable.” (CX546). Likewise, Heading VI states that “COSCO's practices . . . violated the Incentive Principle which makes them unreasonable *per se*.” (CX546).

McCown's claim is, on its face, nothing more than legal argument. It is the function of the Presiding Officer and the Commission, not Mr. McCown or any other purported expert, to determine who is the responsible party and whether the facts establish a violation of the incentive principle.

Likewise, in Paragraph 54, Mr. McCown purports to address what the FMC has "repeatedly ruled" about the Incentive Principle (without offering any citations and ignoring the *TCW* precedent). CX546. And though Mr. McCown is not a lawyer, he throws about legal terms more appropriate in a legal brief than in the report of an expert, such as "prima facie evidence" (Para. 32) (CX534), "arbitrary and capricious" (Para. 32) (CX534) and "per se" (Heading VI, quoted above) (CX546). One may well wonder who actually wrote the McCown Report.

(b) Mr. McCown's Forbidden State of Mind Opinions

In addition to improper legal opinions, the McCown Report is also replete with forbidden (and unsupported) assertions about COSCO's state of mind. The courts routinely exclude expert testimony regarding a party's intent, motive, or state of mind. In the case of *In re Rezulin*, 309 F.Supp.2d 531, 546 (S.D.N.Y.2004), for example, the court explained that "the opinions of [expert] witnesses on the intent, motives, or states of mind of corporations, regulatory agencies and others have no basis in any relevant body of knowledge or expertise."³²

³² See, e.g., *Pritchett v. I-Flow Corp.*, 09-CV-02433-WJM-KLM, 2012 WL 1059948, at *6 (D. Colo. Mar. 28, 2012) (excluding expert testimony regarding state of mind and intent); *Ebonie S. ex rel. Mary S. v. Pueblo Sch. Dist.* 60, 09-CV-00858-WJM-MEH, 2011 WL 1755208, at *13 (D. Colo. May 5, 2011) (excluding expert opinion that speculated on a party's intent); *McGill v. Corr. Healthcare Companies, Inc.*, No. 13-CV-01080-RBJ-BNB, 2014 WL 6513185, at *4 (D. Colo. Nov. 20, 2014) (finding expert's opinion on state of mind and intent was "inappropriate for expert testimony."); *DePaepe v. Gen. Motors Corp.*, 141 F.3d 715, 720 (7th Cir. 1998) (expert lacked any scientific basis for an opinion about motives of manufacturer's designers).

Without wishing to belabor the point, we note that the McCown Report repeatedly runs afoul of this well-established restriction on expert testimony. See, *e.g.*, CX533, 535, 556-557, 560 (McCown Rpt. at 8, 10, 31-32, 35).

v. The McCown Report is Not Reliable

As shown immediately above, the McCown Report and Mr. McCown's testimony flunk the *Daubert* requirement that expert testimony be relevant. They also fail to meet the *Daubert* requirement that expert testimony be reliable.³³ This reliability criterion "remains a discrete, independent, and important requirement for admissibility." *Frazier*, 387 F.3d at 1261. If the witness is relying solely or primarily on experience, as Mr. McCown purports to do, then they must explain how that experience leads to the conclusion reached, why that experience is a sufficient basis for the opinion, and how that experience is reliably applied to the facts. *United States v. Brown*, 415 F.3d 1257, 1261 (11th Cir. 2005). Mr. McCown's Report does nothing of the sort.

As pointed out by Mr. Hackett, Mr. McCown's analysis "relies on estimates that are then extrapolated to build a confusing picture of the maritime industry, and many calculations are undone by errors in methodology and process." RX95 (Hackett Rpt. at 55).

1. The McCown Report is Premised on Flawed Assumptions

The only reparation claims being litigated by VCC are claims originally owned by RIM. Brief at 5. Mr. McCown fails to recognize this inescapable fact, and never opines whether any of these charges was unreasonable with respect to RIM (assuming *arguendo* that RIM was the billed

³³ *E.g.*, Mr. McCown testified that to determine the quarterly index values (upon which he based his entire assessment), he printed the graph and then used a ruler to determine the points on the FMC demurrage and detention index. CX340 (McCown Dep. at 237:5-15). This resulted in wild miscalculations he simply shrugged off. RX292-RX295 (Hackett Dep. at 76:19-22, 77:1-22, 79:5-13).

party).³⁴ RIM had many customers other than VCC for which COSCO provided ocean transportation. Accordingly, to assess the reasonableness of charges to RIM, it would be necessary to evaluate the scope of the relationship between COSCO and RIM for all shipments, not just those involving cargo destined for VCC. The McCown Report makes no attempt to do this and is consequently unsound.

Second, and even more importantly, the McCown Report rests on the wholly erroneous assumption that all of the charges that RIM assessed to VCC originated from COSCO, and that all the charges VCC paid were to RIM.³⁵ That is decidedly *untrue* – as detailed below in connection with reparations, many of the charges included by Mr. McCown came from railroads, truckers, and other third-party transportation services providers. Just one glaring example:³⁶ Mr. McCown assumed that the “storage” or “yard storage” charges VCC alleged it paid to RIM but also to others – which comprise the vast majority of the charges for which VCC seeks to hold COSCO liable -- were a pass through of charges that COSCO invoiced to RIM. He based this assumption purely on what he was told by VCC, without any independent review, such as examining the underlying invoices.³⁷

³⁴ As explained above, Complainant has not produced a single invoice from COSCO to RIM, so has not established that RIM was invoiced by COSCO. [RPFF225.]

³⁵ Mr. McCown testified that he had not spoken to RIM in the preparation of his Expert Report. CX112 (McCown Dep. at 9:20-22).

³⁶ We address similar errors regarding other charges claimed by Mr. McCown that were not COSCO charges in connection with Mr. McCown’s calculation of purported damages.

³⁷ CX253 (McCown Dep. at 150:12-18):

“Q: ...you’re basing your opinion on an email traffic between VCC and its storage provider; is that correct?

A: Oh, no. No, I’m not basing my opinion on. I’m basing my categorization or my understanding of that yard storage is detention *based on what VCC told me.*”
(Emphasis added)

Contrary to Mr. McCown’s assertion, the FMC has identified that “storage charges” are *not* the same as detention or demurrage. 89 Fed. Reg. 14330, 14354 (Final Rule, February 26, 2024). Indeed, such charges are typically issued by terminals, not ocean carriers, as well as railroads and truckers, if they provide temporary storage or warehousing. *See, e.g., Elawamry v. CMA*, FMC Docket No. 2007(I), 2024 WL 4491609, at *18 (S.O., Admin. final November 7, 2024) (“storage charges on the container were imposed *by the terminal*.”) (emphasis added). The term “terminal storage” is defined in the FMC’s rules regulating the activities of **marine terminal operators** as “the service of providing warehouse or other terminal facilities for the storage of inbound or outbound cargo after the expiration of free time, including wharf storage, shipside storage, closed or covered storage, open or ground storage, bonded storage and refrigerated storage.” 46 C.F.R. § 525.1(c)(20) (emphasis added).

Apart from the general practice recognized by the FMC, Mr. McCown's assumption on faith is demonstrably false in the case of COSCO. [REDACTED]

(c) [REDACTED] . . .

CX750 (Takase Dep. at 89:12-90:1).

[RPF179-RPF185.] [REDACTED] [REDACTED] – [REDACTED] [REDACTED] [REDACTED]

[REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] - [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED] [REDACTED]

Had Mr. McCown actually examined the invoices RIM received that it passed on to VCC, he should have understood that invoices for yard storage did not come from COSCO, thereby

avoiding this enormous and inexcusable error.³⁸ His failure to understand and verify what entity sent what charges is immediately disqualifying.

2. Mr. McCown Failed to Consider Alternatives

One criterion for determining the admissibility of expert testimony is whether the expert considered alternatives before forming his opinion. *Viterbo v. Dow Chem. Co.*, 826 F.2d 420, 424 (5th Cir. 1987) (“Without more than credentials and a subjective opinion, an expert's testimony that ‘it is so’ is not admissible”). Contrary to that principle, Mr. McCown claims that the proper charge needed to incentivize shippers to timely pick up or return containers is whatever figure Mr. McCown says it is. Mr. McCown did nothing to analyze what level of incentive might have been necessary or appropriate at the ports where cargo destined for delivery to VCC was discharged. When questioned about his opinion, Mr. McCown testified that he did not even consider whether VCC or may have had reasons to leave its cargo on the terminal or keep the container at VCC’s

³⁸ This inexplicable error by a purported expert also suggests that Mr. McCown’s purpose in preparing the Report was not to offer the perspective of an independent analyst, but rather to maximize VCC’s claims.

facility itself past free time.³⁹ Mr. McCown's failure to give any attention to this matter is by itself sufficient to demonstrate that the McCown Report and his testimony are unreliable.⁴⁰

³⁹ Mr. McCown suggested at his deposition that shippers have a natural incentive to pick up cargo, (CX212-CX213 (McCown Dep. at 109:22-110:5)), but did not assert actual knowledge of what shippers do. Mr. McCown's untutored assertion was disproven by Mr. Takase, who has current and vast experience with the issue, and testified as follows:

"Q: ...Aren't they naturally incentivized to move their own cargo?

A: Absolutely not.

Q: Why not?

A: Import cargo, for instance, could be moved in high volumes. It's very common – and in fact, this is exactly what happened in COVID period is that all the warehouses reached capacity. So a customer's warehouses could not accept the containers anymore. So what they would do is leave the containers on the terminals as long as they possibly could...if it was cheaper to pay the demurrage rates at the terminal than to find a source to warehouse the cargo, a lot [of] customers did that. If they were able to pull the container, a lot of the import containers during this period were held out for long periods of time, months, because they were using the container as a warehouse." CX807-808 (Takase Dep. at 136:16-137:16).

⁴⁰ As the Commission is certainly well aware, the assertion that consignees need no incentive to pick up laden containers is something no expert could possibly believe, and the Commission itself has rejected. *Interpretive Rule on Demurrage and Detention Under the Shipping Act*, 85 FR 29638-01, fn. 70 (citing *Fact-Finding No. 28 - Conditions and Practices Related to Detention, Demurrage, and Free Time in Int'l Oceanborne Commerce*, 1 F.M.C.2d 1 (FMC 2018) (Order of Investigation) ("**Importantly, almost every [fact-finding participant] characterized demurrage as an incentive to get containers out of the terminal**") (emphasis added)). Consignees regularly leave cargo at the port for many reasons, including that they lack sufficient warehouse space to hold the additional goods. Why expend resources moving and storing containers if you can keep them rent-free at the port? In any event, Mr. McCown's opinion about loaded containers could not possibly be relevant to the assessment of detention for the late return of empty containers. Unless a shipper is keeping so many empty containers that they clog its facilities or otherwise interfere with its operations, there is no incentive other than detention for the shipper to ever undertake the expense of returning them.

3. The McCown Report Is Replete With Factual Errors and Unsupported/Unsupportable Assumptions

As demonstrated above, Mr. McCown made a gigantic error in treating third-party charges as if they were COSCO charges. We here note just a few of his additional errors.

Mr. McCown asserts that the duty of an ocean carrier to make cargo available to a customer extends to the “carrier managed terminal.” CX534 (McCown Rpt. at 9). This conclusion of law is inadmissible, erroneous, and irrelevant. [RPFF94-RPFF116]. Complainant does not allege in its Complaint or address in its Brief any instance where COSCO did not timely make a container available. Moreover, even if a container were, for some reason, made available on a delayed basis, “free time” would not start until the container was made accessible, so the delay would have *no effect* on the time available to the Complainant before any charges began to accrue. CX730 (Takase Dep. at 59:2-12). Nor would it have any effect on the return of empty containers or charges for late return. In any event, there are *no COSCO-managed* terminals in the United States.⁴¹ [RPFF101.] As pointed out by Mr. Hackett, COSCO of course has a general interest in the smooth operations of the terminals in the U.S. at which it calls; but “COSCO is a carrier [...] it does not “run [] the cranes. It’s not running any of the yard equipment...[or]... managing the gate.” RX297 (Hackett Dep. at 81:13-19); [RPFF99-RPFF104].

Mr. McCown assumes that, because the utilization levels of vessels during the relevant period were high, there was no opportunity cost. CX545 (McCown Rpt. at 20). Again, the test of detention/demurrage charges is not opportunity costs, but incentive effects. Further, Mr. McCown’s assertion is an error no trained economist (which he is not) should make. It is well

⁴¹ Mr. McCown repeats this canard at Paragraph 76, where he asserts, without foundation by the way, that the problems with pickup and return resulted from “COSCO’s failure to properly manage its [non-existent] terminal operations.” CX557 (McCown Rpt. at 32).

known, and recognized by the FMC, that port congestion in the United States resulted in a severe container shortage in Asia. Final Report, Fact Finding No. 29, *Effects of the COVID-19 Pandemic on the U.S. International Supply Chain*, at 11 (“The number of shipping containers in circulation during the second half of 2020 was insufficient to meeting higher than anticipated consumer demand for imports.”) (May 31, 2022); RX89-RX90 (Hackett Rpt. at 49-50). [RPFF31-RPFF49.] As a result, there were frequently not enough empty containers at origin to load all the cargo shippers demanded. And rates on the “headhaul” (i.e., from Asia to the United States) were at record levels at the time. Thus, the reduction in containers in China, caused by congestion in the United States, created a large increase in the opportunity cost of earning greater revenues from filling vessels in China. RX63 (Hackett Rpt. at 23) (“The time sat at anchor awaiting a berth was time that could not be spent transporting additional containers, but market dynamics shifted to offset the opportunity cost through higher freight rates.”)

vi. Mr. McCown is Unqualified to Opine on the Subjects at Issue

The McCown Report pervasively trumpets Mr. McCown’s ostensibly substantial (though demonstrably exaggerated) experience, upon which he relies to make dozens of otherwise unsupported factual assertions. The McCown Report does not, however, adhere to FRE702’s requirements for circumstances where expert opinions are based on alleged experience – he nowhere even attempts to explain how his ostensible experience led to his conclusions, why that experience constitutes a sufficient basis for the opinions provided, and how that experience is reliably applied to the facts. *Brown*, 415 F.3d at 1261.

Virtually all of the factual assertions Mr. McCown makes about detention and demurrage (and COSCO’s practices relating thereto) are specifically stated to be based on Mr. McCown’s “experience.” But Mr. McCown does not assert, much less demonstrate, that he has any experience

with the process of setting or assessing detention or demurrage charges, and in fact, he has none.⁴² The McCown Report brazenly paints Mr. McCown as an “expert” on detention and demurrage. Yet the Report fails to say he was ever involved in setting or applying detention and demurrage policies, even in the distant past when he was supposedly employed at an operating company. Further, his roles at these transportation companies were in the financial sphere, not overseeing container ship logistics. Indeed, in another, recent, similar proceeding before the FMC, Mr. McCown admitted that such proceeding was the first time he had ever analyzed a detention or demurrage claim. *Samsung Electronics America, Inc. v. Zim Integrated Shipping Services Ltd.*, FMC Docket No. 22-30, 2023 WL 6391707 (Respondent’s Motion to Strike Expert Report of John D. McCown at *2–3). Mr. McCown also testified that while at the company at which he gained most of his experience, Trailer Bridge, he never negotiated demurrage or detention provisions. CX263 (McCown Dep. at 160:16-20).

Although there is by now no need to gild the lily, it is worth noting that that the companies where Mr. McCown allegedly gained his purported experience bear little resemblance to a modern container ship operator providing extensive global networked services, such as COSCO. Mr. McCown has **no** familiarity with ocean transportation operations involving hundreds of exceptionally large vessels moving in trans-Pacific and trans-Atlantic trades in a network serving more than 624 ports in over 145 countries.⁴³

Instead, the companies where Mr. McCown worked were (1) a small carrier using a small number of small vessels (mainly sea-going tugs and barges) carrying a minimal number of

⁴² Indeed, the McCown Report never even uses the words “detention” or “demurrage” in describing his prior experience, first mentioning “detention” in the “Summary of Opinions” section of the Report. CX532 (McCown Rpt.) at 7.

⁴³ See <https://lines.coscoshipping.com/home/About/about/Profile> (accessed November 10, 2024).

containers within an extremely limited services, mostly serving just one or two ports in the United States and one foreign port; and (2) a small carrier with a unique, niche service using vessels of 4400 TEU capacity. CX129 (McCown Dep. at 26-27:2-8); CX278 (McCown Dep. at 175:19). Mr. McCown's largely financial work for these companies provides no basis on which to make the decidedly exaggerated boast that Mr. McCown had "decades of operating experience in container shipping." CX533 (McCown Rpt. at 8, para 26).

Another illustration of Mr. McCown's lack of relevant knowledge/experience may be seen in his assertion that COSCO imposed restrictions on return, such as dual-move requirements, which made it harder for shippers to return empty containers. CX256 (McCown Dep. at 153:20-21). Anyone with actual recent experience with the operations of ocean carriers and terminals, however, knows that such restrictions are not imposed by the ocean carrier, but are established *by the terminal*, and are very much disfavored by the carriers.⁴⁴ [RPFF98-RPFF102; RPFF106.]

Moreover, even though both the Commission and the courts have recognized the benefits of demurrage and detention charges,⁴⁵ Mr. McCown disagrees, testifying that he considers them to be largely unreasonable. CX201-203 (McCown Dep. at 98-100:9-6). Mr. McCown proposed that a reasonable demurrage rate (if any) would be **\$30 per day**. CX206 (McCown Dep. at. 103:9-21). That suggestion is of course ludicrous and at least an order of magnitude below what today's carriers actually charge. [RPFF119.] And as Mr. Takase testified, even such higher charges are not always effective in incentivizing shippers, which have at times found detention and demurrage charges more economical than procuring additional warehouse space. Given Mr. Takase's

⁴⁴ Dual-move requirements, for example, serve the financial interests of the terminal, not those of the carrier. RX95 (Hackett Rpt. at 55). [RPFF105-RPFF114].

⁴⁵ The primary purpose of demurrage and detention charges is to serve as a financial incentive to promote freight fluidity. 46 C.F.R. § 545.5(c)(1); *TCW*, 106 F. 4th at 115 ("Per diem detention charges provide an incentive for the timely return of equipment").

testimony, and common sense, it is impossible to imagine any shipper that would find much incentive in a \$30 charge when it could avoid substantially higher warehouse costs by delaying pickup of cargo or could use empty containers for storage rather than returning them. [RPFF58-RPFF66.]

Finally, we note just a few of the many other instances where the McCown Report relies on purported experience, without further facts or explanation, inconsistent with his actual experience or – more accurately – his lack thereof. At Paragraph 27, for example, the McCown Report states, “That same experience makes me very knowledgeable in what the responsibilities of a container shipping company are, and the actions required by the carrier to fulfill its responsibility to shippers.” CX533 (McCown Rpt. at 8). This sentence is doubly flawed. First, the responsibilities of a container shipping company are matters of law, testimony about which is both impermissible and without any alleged foundation in experience. Second, the McCown Report suggests no basis for Mr. McCown to claim any knowledge whatsoever vis-à-vis the responsibilities of a major carrier, much less boast of being “very knowledgeable” on that subject. As described above, Mr. McCown’s experience is in finance, not operations or the legal department, and the small transport companies for which he worked long ago bear no meaningful relationship to a modern global carrier such as COSCO.

Similarly, at Paragraphs 47-48, Mr. McCown opines about the rate of per diem charges in the United States compared to those in Rotterdam, Netherlands, saying, “In my view the container terminal operations and the role of demurrage and detention is [sic] quite similar in all of the ports shown in the table.” CX542-CX543 (McCown Rpt. at 17-18, para 47-48). Not only does Mr. McCown lack any experience in setting or applying per diems, but he also lacks sufficient experience with any of those enumerated ports that might permit him to determine whether

different conditions warrant different charges.⁴⁶ RX58-73 (Hackett Rpt. at 18-23). It is quite possible – indeed, likely – that shippers/consignees at some ports need greater incentives than those at other ports.

Likewise, in Paragraph 60, Mr. McCown asserts, “In my opinion based on my operating experience in the industry and the terminal processes involved with VCC loads, the accessorial charges by COSCO during the pandemic were not consistent with the incentive principle.” CX549-CX550 (McCown Rpt. at 24-25, para 60). Again, apart from being entirely inadmissible as testimony about the law, Mr. McCown’s claim of “operating experience” is, at best, substantially exaggerated. His Report and testimony make no showing that he is knowledgeable about the assessment and determination of the amount of detention or demurrage; nor does it exhibit any knowledge (beyond financial analysis) about the current operations of marine terminals. CX321 (McCown Dep. at 218:2-6). Further, Mr. McCown states a legal conclusion about compliance with the incentive principle without addressing the actual point of the incentive principle – to encourage the timely pickup and return of equipment.

vii. Mr. McCown’s Assertions are Unsupported by Evidence

The McCown Report is further flawed by the repeated failure of Mr. McCown to cite evidence in support of his opinions. For example, as explained above, Mr. McCown made a gross error about which charges originated with COSCO, as opposed to third-party entities, without citing actual invoices. As another glaring example, the Report says that “there has never been a shipper such as Walmart, Home Depot or Target that has ever experienced any treatment approaching what VCC received related to demurrage and detention billing.” CX556 (McCown

⁴⁶ Mr. McCown testified that Trailer Bridge (which he left in 2008) had dedicated terminals in Jacksonville (FL) and San Juan (Puerto Rico); Trailer Bridge used Maher Terminals in New York. CX129-CX130 (McCown Dep. at 26:7-27:8).

Rpt. at 31, para 72). But the Report cites no evidence or other basis for knowing how those companies are treated. And even if differential treatment of service contract customers had legal relevance (which it does not, (see fn.25, above), the Report cites no evidence for this brash claim.⁴⁷

It is, of course, Complainant's burden to prove the facts – the Complainant cannot simply assert them by introducing someone else's opinion, especially when such an assertion is nothing more than the unsupported *ipse dixit* of the inexperienced Mr. McCown. Further, it is absolutely ludicrous for Mr. McCown to suggest that *every* trucker employed by RIM/VCC was unable to pick up or return containers for *every* single unspecified shipment on *every* single unspecified day at *every* port or terminal across the United States for which RIM was charged detention or demurrage.⁴⁸ As demonstrated above, that is what FMC law requires a complainant to show as the first threshold matter before even considering the effect of the charge on container flow.

In another obvious gaffe, the McCown Report repeatedly refers, without factual support, to U.S. terminals as managed or controlled by COSCO. As shown above, COSCO does not manage terminals. Moreover, COSCO does not have any ability to address the main problem Mr. McCown complains about – that ports had too little space to handle the unprecedented and unexpected influx of containers. Decisions regarding port capacity, like decisions to require gate appointments and other actions regulating terminal activity, are not made by COSCO, but instead by private terminal

⁴⁷ In any event, the unsupported suggestion that Walmart, Home Depot, and Target get better treatment than much smaller shippers would hardly be surprising, or unreasonable, given that, as demonstrated above, Congress amended the Shipping Act in 1998 specifically to give additional flexibility to shippers and carriers to allow differential treatment in confidentially negotiated service contracts. *See supra*, S. Rep. No. 105-61 at 4.

⁴⁸ CX547-CX548 (McCown Rpt. at 56); CX547-CX548 (McCown Rpt. at 22-23, para 56). Apparently considering consistency to be a hobgoblin, Mr. McCown states in the very next paragraph that the large majority of shipments that VCC alleges it made with COSCO via RIM incurred no late charges whatsoever. CX548 (McCown Rpt. at 23, para 57). Similarly, the spreadsheet(s) he purported to have examined and upon which his testimony was based also demonstrate that for a majority of line item shipments, there were no such charges.

operators, public port authorities, and other federal and state governmental authorities, addressing multiple factors such as land use, environmental effects, and traffic. [RPFF101.] Indeed, Mr. McCown admitted as much in his deposition. CX240 (McCown Dep. at 137:4-9).

E. Complainant's Discovery Misconduct Requires Dismissal of the Complaint (or at Least Preclusion of the McCown Report)

As detailed in Respondent's October 2, 2024 Second Motion to Dismiss, incorporated herein by reference,⁴⁹ Complainant has played hide the ball with respect to discovery and has turned the McCown Report into an ever-moving target. This is impermissible and should rightfully result in dismissal of the Complaint for failure to prosecute and for abuse of the discovery process. At the very least, it should lead the Presiding Officer to preclude Complainant's use of the extremely untimely *Fourth* Edition of the McCown Report, served more than three months after the deadline for Complainant to serve its expert report expired. Although the argument was already made in the Second Motion to Dismiss, the Presiding Officer deferred her ruling to after the briefs were filed. As a result, we reiterate the argument in abbreviated form.

As the Presiding Officer explained in her July 17, 2024 Order, "discovery is intended to make trial 'less a game of blind man's bluff and more a fair contest with the basic issues and facts disclosed to the fullest practicable extent....'" Order at 6 (citing *Gilmore v. City of Minneapolis*, 2014 WL 4722488, at *6 (D. Minn. 2014) (citing *United States v. Procter & Gamble Co.*, 356 U.S.

⁴⁹ Respondent continues to disagree with the Presiding Officer's decision to table this motion to the brief. Unlike the disfavored dispositive motions referenced by the Presiding Officer, which sought disposition on the merits, Respondent's motion had nothing to do with the merits, but instead rested on Complainant's misconduct and the consequent deprivation of Respondent's Due Process and Administrative Procedure Act rights to know the evidence against it and present effective rebuttal. Had the Presiding Officer granted the motion, the result would have freed Respondent from the extremely expensive need to prepare this brief.

677 (1958))). Contrary to that requirement, Complainant has played three card monte with both the McCown Report specifically and with discovery more generally.

i. The McCown Report – Multiple Editions

As previously noted, Complainant has produced four separate editions of the McCown Report, the last three coming after the June 14, 2024 deadline for Complainant's Expert Report set by the Schedule issued by the Presiding Officer on May 14, 2024. The Third and Fourth Editions were served not only well after the deadline, but also after Respondent deposed Mr. McCown and VCC's fact witness and too late to allow Respondent a chance to review the substantial (and unexplained) changes and re-depose Mr. McCown and/or the fact witnesses. This is both impermissible and prejudicial.

Expert disclosures must be made "at the times and in the sequence that the court orders." F.R.C.P. 26 (a)(2)(D). See, *e.g.*, *Goodman v. Staples*, 644 F.3d 817, 827 (9th Cir. 2011) (plaintiff's untimely disclosure of expert witnesses and their expert reports warranted application of exclusion sanction). Likewise, under the FMC Rules, "[t]he time for disclosure of expert testimony must be addressed by the parties when they confer as provided in paragraph (h) of this section and, if applicable, must be included in the proposed discovery schedule submitted to the presiding officer." 46 C.F.R. 502.141(d)(4).

The penalty for failure to timely disclose an expert report or information pertaining thereto is preclusion of that report. As stated in F.R.C.P. 37(c)(1), applicable to FMC proceedings pursuant to 46 C.F.R. § 502.12, a party that has failed to provide information required by Rule 26(a) or 26(e) "is not allowed to use that information or witness to supply evidence on a motion, at a hearing, or at a trial, unless the failure was substantially justified or harmless."

ii. The Various Shipment Spreadsheets

Complainant has produced or used without production (in the McCown Report) a variety of spreadsheets purporting to identify the specific shipments covered by the Complaint.⁵⁰ Each iteration made a significant change in the number of such shipments, none with any explanation. Even today, Respondent cannot tell which shipments are under attack and which are not. Complainant says one thing; Mr. McCown says another. This dizzying array of changes, and particularly, the recent, extremely late changes, makes it impossible for COSCO to properly defend itself. A brief chronology of the various spreadsheets follows:

On February 7, 2024, Complainant produced to Respondent a spreadsheet (“February 7 Spreadsheet” or “VCC000005”) (Respondent’s Exhibit 14)(Produced in Native Excel Format) purporting to identify each and every shipment and charge as to which Complainant asserts a violation of the Shipping Act (copy attached as Respondent’s Exhibit 14 (Produced in Native Excel Format). The February 7 spreadsheet identified a total of 437 shipments (some more than once). That spreadsheet was used and referred to by the Parties in creating the ESI Protocol, in setting search terms, and in multiple email correspondences.

Unbeknownst to Respondent, however, VCC had, behind the scenes, concocted a substantially revised spreadsheet, which somehow, but without explanation, added 102 new shipments, for a new total of 539 shipments. This was not an irrelevant difference. Notably, Mr. McCown testified on September 26, 2024 that in calculating purported damages, he had relied upon an “updated” version of the charges spreadsheet, *not* the version VCC produced to Respondent as VCC000005 (with 437 shipments.). VCC (or someone else) provided the revised

⁵⁰ *None* of these spreadsheets offered any explanation as to why RIM, VCC, and VCC’s agent were unable to timely pick up or return, much less that this was for reasons beyond their control or that the resulting charge did not have an incentivizing effect, information required by *TCW*.

spreadsheet to Mr. McCown, but not to Respondent. Respondent learned of this discrepancy during the deposition of Mr. McCown, and despite Respondent's request for production of the new spreadsheet and Mr. McCown's promise to produce it,⁵¹ Complainant refused (and still refuses) to make it available to Respondent.

Rather than producing the updated data and spreadsheet the next day, Complainant instead served on September 27, 2024 a substantially revised version of the McCown Report (Third Edition). This Third Edition purportedly relied upon two brand new spreadsheets entitled "VCGPOR REPORT – YEAR 2021" and "VCGPOR – 2022 Report" (CX548 (McCown Rpt. at 23, FN26)[Respondent's Exhibits 15 and 16(Produced in Native Excel Format)], rather than either the February 7 spreadsheet (VCC000005) **or** the (unproduced) spreadsheet previously used by Mr. McCown. Although VCC's counsel referred to the Third Edition as a "corrected" report, this was plainly a spurious descriptor apparently intended to obscure the fact that the report had been substantially revised. None of these changes was explained in the text of the Third Edition.

Finally, the Fourth Edition of the McCown Report was submitted in connection with Complainant's Brief. (CX525-CX560). The Fourth Edition was founded on yet another set of spreadsheets. These spreadsheets ***were never produced to Respondent*** in discovery. CX344-345 (McCown Dep. at 241:15-242:4). Nor were they produced in Complainant's Appendix.

The Third and Fourth Editions of the McCown Report, and the spreadsheets appended thereto, made significant changes from the First and Second Edition, none of which were explained in the text. Among the unexplained changes first made in the Third Edition were two of particular importance. First, the Third Edition reduced the universe of shipments allegedly covered by the

⁵¹ "We will amend it and have something to you tomorrow, I believe. . . . – it's 100 or less situations and we'll amend that and get that to you." CX242 (McCown Dep. at 241:12-242:4).

Complaint from 539 to 439. Second, and more critically, the Third Edition *increased* the calculation of total purported damages by about five (5) percent, even though the number of shipments *decreased* by over twenty (20) percent. Because this all arose after the McCown deposition, as well as the depositions the fact witnesses, and because the changes were nowhere explained in either the Third or the Fourth Edition, Respondent has had no opportunity to learn why these changes were made and the bases therefor. That by itself is prejudicial and almost certainly sufficient by itself to mandate judicial reversal.

Further changes were made in the Fourth Edition (served October 17). The list of shipments was reduced to 419, which according to VCC counsel was intended to remove shipments outside of the FMC's jurisdiction. The arbitrarily increased penalty percentage, however, remained at that level in the Fourth Edition, again with no explanation.

iii. Other Discovery Misconduct

Even apart from the McCown Report and spreadsheets, Complainant has played fast and (mostly) loose with the production of discovery. Despite Complainant's claim to have conducted a "forensic" document search, it is apparent that the forensic contractor either searched in the wrong places using the wrong terms or that Complainant deliberately withheld documents responsive to Respondent's discovery requests. This became obvious during the September 24 and September 27, 2024 depositions of VCC's fact witnesses, Chief Operating Officer Gary Hirschel and Director of Logistics and Transportation Thomas O'Toole. Both Mr. Hirschel and Mr. O'Toole identified documents from which they had sourced their answers, but which had not been produced to COSCO, even though such documents were not only responsive to COSCO's initial discovery requests but were also compelled by the Presiding Officer.

For example, during the September 24, 2024 deposition of VCC's COO Gary Hirschel, Mr. Hirschel testified that VCC had a contract with RIM. CX62 (Hirschel Dep. at 61:5-8). Such contracts had previously been requested by Respondent in its formal discovery, but Complainant had produced only one of them. [RX176-RX191].

Additionally, the testimony of Mr. O'Toole identified certain previously unproduced documents, which resulted in a request for, *inter alia*: (1) contracts between VCC and RIM from 2021 and 2022; (2) [REDACTED] (3) TRAX audit reports 2021 – 2022; and (4) all VCC Freight Detail Reports ("FDR") from 2021-2022.CX457 (O'Toole Dep. at 108:10-14). Complainant subsequently produced ten documents, nine of which had not been produced previously, even though all were clearly responsive to Respondent's First Discovery Requests served on March 27, 2024. [REDACTED]

[REDACTED]

[REDACTED] [RPFF190-RPFF193; RX166].

Complainant's failure to produce both the spreadsheets and other clearly responsive documents cannot be considered either justified or harmless. Complainant obviously knew about these documents, as Mr. McCown and the fact witnesses expressly relied upon them. And Complainant now acknowledges that these documents were both responsive and relevant. There can thus be no excuse for Complainant's failure to produce them in a timely manner. And we note again that these documents remained unproduced until all the fact witnesses had been deposed, prejudicially precluding Respondent from examining those witnesses about such documents.

Because COSCO has been deprived of a reasonable opportunity to defend itself due to Complainant's failure to properly produce critical discovery responses, fundamental fairness

requires that the Presiding Officer dismiss the Complaint for failure to prosecute and/or failure to follow the regulations of the FMC and the Orders of the Presiding Officer. At the very least, the Presiding Officer should preclude consideration of the McCown Report.

F. Complainant's Miscellaneous Claims of Unreasonableness

After putting all its eggs into the McCown basket, Complainant tosses out a miscellany of assertions about specific actions it asks the Presiding Officer to find unreasonable. None of these assertions is within the scope of the Complaint, and they are all presented in brief precis, without much reference to fact or law. Although there is no reason for the Presiding Officer to reach these toss-offs, Respondent addresses them, nonetheless.

i. Automated Billing

VCC suggests that COSCO's actions should be found unreasonable because COSCO "automatically" assesses demurrage and detention charges without regard to their reasonableness, relying on shippers to identify unreasonable charges. Brief at 21. We do not know what Complainant means by "automatically," as computer billing of late charges is at most semi-automatic. But what Complainant appears to be getting at is the fact that COSCO does not fully investigate late charges before sending a computer-generated invoice but does so if a customer complains.

Apart from the facts that semi-automated invoices including late fees are used by most (if not all) ocean carriers and that they are a norm throughout everyday life (e.g., from doctors, utilities, and all sorts of service providers), Complainant apparently is unaware that the Commission has issued regulations prescribing the billing process that carriers must use for detention and demurrage. 46 C.F.R. §§ 541.7, 541.8. COSCO's billing practices are in strict accord with those regulations, and VCC has made no attempt to show otherwise.

The FMC's Rules contemplate that investigation of detention and demurrage invoices will take place *after* the billed party has complained, not before the invoice is sent. Thus, the regulations require an ocean carrier to "allow the billed party at least thirty (30) calendar days from the invoice issuance date to request mitigation, refund, or waiver of fees from the billing party." 46 C.F.R. 541.8(a). And if the billed party makes such a request, the carrier must investigate and try to resolve the matter with the billed party:

"If a billing party receives a fee mitigation, refund, or waiver request from a billed party, the billing party must attempt to resolve the request within thirty (30) calendar days of receiving such a request or at a later date as agreed upon by both parties." 46 C.F.R. 541.8(b).

By contrast, the regulations regarding invoicing of detention and demurrage do not require the carrier to investigate or take any other steps before sending the invoice. Rather, they simply require that the invoice be sent – to the correct billed party – within 30 days after the charge was last incurred (i.e., 30 days after the container at issue was picked up or returned):

"A billing party must issue a demurrage or detention invoice within thirty (30) calendar days from the date on which the charge was last incurred. If the billing party does not issue a demurrage or detention invoice within thirty (30) calendar days from the date on which the charge was last incurred, then the billed party is not required to pay the charge." 46 C.F.R. 541.7(a).

If a carrier does not meet that tight timetable, then, as quoted immediately above, the carrier loses forever its ability to collect on the invoiced charges.

In addition to the fact that the regulations on their face do not require a pre-issuance investigation, so that any imposition of such a requirement could not be done by fiat, but rather, would require a new rulemaking (specifying both the requirement and the type of investigation needed), any such obligation would be an expensive, and impractical, burden on billing parties. It

is hard to imagine how carriers could meet the 30-day deadline if they must first investigate then handle manually the hundreds or thousands of invoices they send for detention or demurrage.

Furthermore, because carriers must investigate *after* a complaint from the billed party, Complainant's unsupported proposal would in fact require carriers to investigate the same thing *twice*. And carriers would need to hire many more employees to handle the manual invoicing and duplicative investigation processes. These added costs would need to be recovered by increasing ocean freight and/or the daily amount charged for detention and demurrage. And many (likely most) of these initial investigations would be an unproductive waste of time, as they would turn up nothing (even though the shipper could still challenge the carrier's decision). Moreover, it is the billed party that will possess the relevant facts regarding its shipments, including why *its* agents could not pick up or return a container on a specific date.

Finally, even if the Presiding Officer were to find that pre-invoice investigations are necessary, despite the FMC's rules, this could not result in any award of reparations, as there is no proximate cause. Especially as Complainant has not identified the specific charges and circumstances surrounding them, any suggestion that pre-invoice investigation would have resulted in RIM/VCC not paying the charge is pure speculation. And in any event, the chain of proximate cause was interrupted when VCC/RIM failed to take the opportunity to challenge those invoices through COSCO's dispute resolution process.

ii. Dispute Resolution Process

Complainant also attacks COSCO's dispute resolution process as unreasonable, even though that process follows the FMC's requirements and has been informally approved by the Commission. But neither VCC nor RIM ever used the COSCO process for any of the disputed

charges, so Complainant lacks any standing to attack the COSCO process or to claim that any injury flowed therefrom. [RPFF128-RPFF149].

VCC next attacks what it claims to be COSCO's policy of continuing to assess detention or demurrage charges while a dispute is pending regarding such charges. Brief at 24. VCC makes no claim that this happened to it or to RIM with respect to any of the charges alleged by the Complaint, so this cavil, aside from being untrue, is also irrelevant to the Complaint.

In making this argument, VCC relies upon FMC precedent that it misstates, and which actually cuts against its claim. *In re Free Time and Demurrage Practices on Inbound Cargo at New York Harbor*, 9. S.R.R. 860, 864 (FMC 1967). Complainant quotes the FMC as citing that case for the proposition that "penalty" demurrage during a longshoremen's strike cannot incentivize cargo flow. Brief at 25. This is a correct quote from the rulemaking, but Complainant fails to recognize what "penalty" demurrage is. Penalty demurrage refers to a multi-tier demurrage system under which the basic daily charge increases significantly to a "penalty" level after a set number of days.⁵² Thus, what the Commission actually held in *Free Time and Demurrage Practices* is that, during a labor dispute that prevents removal of cargo, a carrier may charge normal demurrage on cargo already past free time but may not increase the daily charge to penalty levels.⁵³ Indeed, the courts have recognized that failure to allow ocean carriers to charge first tier demurrage for cargo past free time when the strike begins "is a denial of just compensation for a service

⁵² In this respect, the Commission explained: "Second and Third Period demurrage rates include penal elements," 9 S.R.R. at 864.

⁵³ *Id.* at 867 (during the strike, "carriers shall (after expiration of free time) assess demurrage against the imports at the rate applicable to the first demurrage period.")

rendered.” *APL v. FMB*, 317 F.2d 887, 891 (D.C. Cir. 1963). Complainant makes no showing that any demurrage was assessed at penalty levels.

iii. VIP Accounts

Finally, Complainant asserts that because “VIP” accounts may get better service contract terms than RIM or VCC received,⁵⁴ COSCO improperly treated VCC. Brief at 25. But as repeatedly explained herein, none of the shipments covered by the Complaint moved under a service contract between COSCO and either VCC or RIM. Rather, VCC and RIM merely piggybacked on service contracts between COSCO and entities located in Asia, which were both the Service Contract Shipper Party and shipper on the bill of lading. Accordingly, if anyone has a claim for service contract discrimination it is the foreign Shipper Party, not VCC or RIM. Finally, even if a claim for discrimination could be made, despite the absence of a discrimination count in the Complaint and the legal restriction on such a claim, a finding of violation could not possibly support an award of reparations, because any such discrimination could have been cured either by improving the Asian contract holders’ terms or by eliminating the alleged advantage to VIP customers. *Balmain Lumber & Sales Corp. v. The Port of New York Authority*, 11 F.M.C. 494, 511 (1968).

Finally, Complainant tosses out two complaints about the rates that COSCO charged and the revenues COSCO earned. But as demonstrated above, neither of those matters is within the authority of the FMC. And even if the matters alleged by VCC were within the ambit of the Commission’s power, Complainant has not made out a case. The cost to COSCO of late pick up and return is simply irrelevant to the questions required to make out a claim of unreasonable

⁵⁴ VCC appears to miscomprehend how service contracts are formed, seeming to believe that they are standardized into two sets – VIP Contracts and non-VIP contracts. The reality is much different

– [REDACTED]

practices in assessing detention and demurrage.⁵⁵ As shown repeatedly herein, the standards set by the Commission and courts requires that the Commission evaluate: (i) whether the shipper was unable to pick up or return the container on a particular date for reasons outside its control and (ii) whether the charge might incentivize container flow. Cost to the carrier has nothing to do with it. Furthermore, as demonstrated above, VCC (through Mr. McCown) has grossly miscalculated the cost to COSCO, as it (he) is apparently ignorant of developments in Asia during the pandemic, such as the shortage of containers.

G. Complainant has Failed to Prove A Violation of 46 U.S.C. § 41104(a)(10)

Complainant has effectively abandoned its purported claim under 46 U.S.C. § 41104(a)(10). In the (barely) two pages that it devotes to that section of the Act, it does nothing more than summarize the legal standards (sort of), then announce in a *deus ex machina*, and without resort to any facts, that COSCO somehow violated the section.

⁵⁵ In promulgating the “Incentive Principle,” the Commission deliberately eschewed reliance on both the actual and opportunity cost of delay, choosing instead to rely upon the goal of incentivizing timely pick up and return. See *Interpretive Rule on Detention and Demurrage Under the Shipping Act*, 85 Fed. Reg. 29651 (May 18, 2020) (“Demurrage and detention are not the mechanism by which ocean carriers recover all costs related to their equipment, and the Commission cannot assume that these charges are the primary method by which ocean carriers recover their capital investment and container costs. . . . The Commission continues to understand demurrage and detention as primarily being financial incentives to promote freight fluidity.”) The Incentive Principle has nothing to do with the effect of the charge on the carrier, but rather its effect on the equipment user (i.e., the shipper/consignee). By that measure, COSCO’s detention/demurrage fees were a success, as evidenced even by looking at VCC alone. As stated above, VCC/RIM picked up and returned on time the vast majority of the 1,844 containers Mr. McCown said it had moved from Asia to the U.S. via COSCO. CX548 (McCown Rpt. at 23). It is difficult to believe it would have done so without the incentive of COSCO’s charges, especially given the evidence that even the charge did not deter it from delaying its pickup of cargo when it was lacking in warehouse space, lacked trucking services, or simply prioritized certain cargo over others. [See, e.g., RPFF58; RPFF59; RPFF62-RPFF66; RPFF70; RPFF78-RPFF93.]

i. Essential Elements of a 46 U.S.C. § 41104(a)(10) Claim

As the Commission has held and reiterated, a complainant claiming a violation of 46 U.S.C. 41104(a)(10) must prove that it was totally shut out by the respondent, not just that the two parties failed to reach an agreement or that the complainant did not get what it wanted:

“The Act does not guarantee the right to enter into a contract, much less a contract with any specific terms; such a right has not existed either before or since the passage of the OSRA [1998]. *All that is required is that common carriers . . . refrain from 'shutting out' any person for reasons having no relation to legitimate transportation-related factors.*” *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff'd* 29 S.R.R. 1066, 1070 (FMC 2002), *aff'd*, *New Orleans Stevedoring Co. v. Fed. Mar. Comm'n*, 80 F. App'x 681 (D.C. Cir. 2003) (emphasis added).

Likewise, in *Consumer Elec. Shippers Ass'n, Inc. v. Asia North America Eastbound Rate Agreement*, 26 S.R.R. 85, 93 (ALJ 1991), the ALJ recognized that there could be no refusal to negotiate or deal where the carrier made a contract offer, “albeit one not fully to [Complainant’s] liking.” See, e.g., *Kobel v. Hapag-Lloyd AG*, FMC Docket No. 10-06, 32 S.R.R. 1720 (FMC 2013); *California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC 1990). More recently, in *Samsung Electronics America, Inc. v. Orient Overseas Container Line, Ltd.*, FMC Docket No. 24-17, (ALJ partial grant of motion to dismiss, November 18, 2024), the ALJ dismissed a to deal claim, saying “Without any factual material describing...specific attempts at negotiations...there is not enough factual material to carry [complainant’s] claims into the realm of plausibility.” Slip op. at 7.

ii. Complainant Has Not Demonstrated That it Was Shut Out

Complainant has not even tried to show that it was shut out by COSCO, or that there are some other theory/facts under which it can make out a claim that COSCO failed to negotiate with VCC/RIM. As stated above, VCC has not identified a single instance where it (or RIM) asked COSCO to take any specific action and COSCO said no. Indeed, it has not identified a single

request that was made to COSCO. As COSCO was not asked to do anything, *a fortiori* COSCO did not refuse to deal or negotiate. This is the clear holding in *Samsung Electronics*, supra, where the ALJ found insufficient evidence of “specific attempts at negotiation,” and so dismissed that claim.⁵⁶

VCC lists some actions that it characterizes as refusals to deal, but it provides nothing to show that it attempted to deal with COSCO on any of those issues. Brief at 30. And we have already dispensed with those frivolous claims in connection with their similar assertion with respect to 46 U.S.C. § 41102(c).

H. Complainant Has Not Proven Any Right to Reparations

The Shipping Act authorizes the Commission to award reparations only “for actual injury caused by a violation of this part.” 46 U.S.C. 41305(b). The word “actual” was added by the Shipping Act of 1984, in order to “limit damages to the amount of actual injury.” *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co.*, FMC Docket No. 81-57, 26 S.R.R. 788, 798 (I.D., Admin. Final 1992) (quoting from the Conference Report on the Shipping Act of 1984). Because, as demonstrated above, Complainant has failed to prove that Respondent violated the Shipping Act, there can be no “actual injury caused by a violation” and hence reparations are automatically foreclosed. Accordingly, the Presiding Officer need not address the issue of reparations. Should she choose to do so for any reason, however, Complainant has failed to meet its burden of proof.

As with liability, Complainant bears the burden of proving its entitlement to reparations. *Muzorori v. Canada States Africa Lines*; FMC Docket No. 1949(F), 2015 WL 9582593 at *7 (I.D.

⁵⁶ VCC relies on *FMC Docket No. 22-24*, irrelevant to the allegations here, to support its position. Brief at 30. The FMC’s new rules on failure to negotiate, apply only to actions taken after the effectiveness of that regulation on September 23, 2024, long after any of VCC’s claims, and so they are legally irrelevant. 89 Fed. Reg. 59648 (July 23, 2024).

2015). That is, to claim reparations, VCC must prove “actual injury caused by a violation” of the Shipping Act. This means that [t]here is no presumption of injury, and a violation of the Shipping Act does not itself justify an award of reparations without proof of pecuniary loss caused by the violation.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Docket No. 16-16, 2022 WL 2209421 at *3 (FMC 2022) (affirming I.D.); see *Muzorori, supra*, at *8; *Prudential Lines, Inc. v. Farrell Lines, Inc.*, 26 F.M.C. 497 (I.D. 1984).

To meet its burden of proof on reparations, VCC must demonstrate, with “reasonable certainty,” both the fact and the amount of injury. *California Shipping Line*, 25 S.R.R. at 1230; *Tractors and Farm Equipment*, 26 S.R.R. at 798; *Balmill Lumber & Sales Corp. v. The Port of New York Authority*, 11 F.M.C. 494, 511 (1968). Pursuant to these (and other) precedential decisions, VCC “must prove with ‘competent evidence’ that [it] sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, FMC Docket No. 96-05, 29 S.R.R. 119, 187 (FMC 2001) (quoting *California Shipping Line*, 25 S.R.R. 1213, 1230 (FMC 1990)). See also *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal District*, 30 S.R.R. 8, 13 (FMC 2003) (“As the Commission has previously explained, ‘an essential element of a complainant’s case for reparation is a demonstration of injury and the statutory violation as proximate cause of such violation’”)

VCC has failed to carry its burden for multiple reasons, as detailed further below. In short: (i) VCC admittedly lacks standing to seek reparations because it was not a direct purchaser from COSCO; (ii) VCC has utterly failed to demonstrate that RIM was a direct purchaser from COSCO, so the purported claims it assigned to VCC are a nullity; (iii) Complainant has failed to establish either: (a) that it suffered an “actual injury” in a specific amount, or (b) that any such injury was

proximately caused by the assumed violation; and (iv) Mr. McCown's damage calculations are not only inadmissible, but wrong.

i. There is No Evidence that Either VCC or RIM Was a Direct Purchaser

As the Presiding Officer has recognized and Complainant has acknowledged, only an entity that paid a disputed charge directly to an ocean common carrier has standing to seek reparations from the ocean carrier for such allegedly improper charges. Downstream parties that may have directly or indirectly repaid the direct purchaser for improper charges are not eligible to seek reparations, unless they have an assignment of claims from the actual direct purchaser. Although we have already proven that point, we reiterate in summary.

Longstanding interpretation of the Shipping Act has been that, where the claims are based on unreasonable or excessive charges, as they are here, only the entities that purchased the relevant services directly from the ocean common carrier ("direct purchasers") have suffered the "actual injury" that confers standing to seek reparations. *See, e.g., Intermodal Motor Carriers Conference v. OCEMA*, FMC Docket No. 20-14, 2024 WL 641501 (FMC 2024); *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 (FMC 2022); *In re Vehicle Carrier Services*, 1 FMC 2d 440 (FMC 2019); *Gov't of Guam v. Sea Land Serv., Inc.*, FMC Docket No. 89-26, 29 S.R.R. 894 (ALJ, Admin. Final 2002).

As the Commission explained in *OCEMA*:

"For the past 90 years, the Commission and its predecessor agencies have followed Supreme Court precedent in applying what has become known as the 'direct purchaser rule.' . . . [T]he direct purchaser rule deems the person that paid illegal overcharges (or directly sustained them) as the only person 'directly damaged,' regardless of what may have occurred later." 2024 WL 641501, at *44.

Likewise, in *TCW*, the Commission stated, citing to *In re Vehicle Carrier Services* and *Gov't of Guam v. Sea Land*:

“Under the direct purchaser rule, only the party who actually paid the carrier can sue for reparations for an overcharge, not indirect purchasers further down the chain.....Under the direct purchaser rule, ‘parties suing for alleged overcharges can only recover reparations if they actually paid the carrier or received an assignment from the direct purchaser.’” 2022 WL 18068977, at *7.

Complainant has admitted that it was not a direct purchaser from COSCO, and so relies entirely on an assignment of claims from RIM for its standing to seek reparations. But the FMC law on standing applies just as much to RIM as it does to VCC. Complainant has made absolutely no showing that RIM was a direct purchaser from COSCO and so had claims that it could legally assign to VCC. As previously noted, VCC has not entered into the record a single invoice from COSCO to RIM in which COSCO imposed charges against RIM for shipments covered by the Complaint. Nor, as discussed further below, does VCC provide any evidence that RIM in fact paid COSCO directly for any of such charges. Accordingly, VCC’s claim for reparations perforce fails for lack of proof both as to VCC itself and as to the claims assigned by RIM.

ii. VCC has Failed to Provide Proof of Payment

Even an alleged direct purchaser may not be granted reparations for improper charges unless it provides documentary proof that it actually paid the charges to the ocean carrier. Complainant has provided no evidence, much less proof, that either VCC or RIM actually paid the challenged charges to COSCO. [RPFF258].

This failure to prove payment is fatal under established FMC precedent. In *Government of the Territory of Guam v. Sea-Land Service, Inc.*, Docket No. 89-26, 29 S.R.R. 894 (ALJ, Admin. Final 2002) (emphasis added), for example, Judge Dolan held that there can be no presumption that bills are paid and that documentary evidence to demonstrate payment is required.” Accordingly, he dismissed all claims where complainants had not provided canceled checks proving that they had in fact paid the disputed charges.

This decision was fully consistent with FMC precedent. In *Cotton Import & Export Co. v. Sea-Land Service, Inc.*, 20 S.R.R. 260 (FMC 1980), for example, the Commission held that, in order to obtain reparations, complainant would need to demonstrate that it paid for the shipments, by providing copies of both the front and the backs of checks (as both sides are required to prove that the check was endorsed and paid) and stated that even then, reparations would need to be denied if there was any question whether the front and back came from the same check. Similar conclusions abound, of which we cite just a few. *See, e.g., Snyder General Corp. v. South African Marine Corp.*, 25 S.R.R. 373 (I.D., Admin. Final 1983) (partially illegible checks insufficient to document payment for purposes of reparations); *Mine Safety Appliance Co. v. Springbok Shipping Co.*, 20 S.R.R. 410. 413 (S.O. 1980) (documents showing that freight bill was presented for payment but not that payment was made held insufficient); *Refinement Int’l Co. v. Eastbourne*, 815 F. Supp. 738, 744 n.11 (S.D.N.Y. 1993) (check duplicates not showing cancellation inadequate to show payment), *aff’d*, 25 F.3d 105 (2d Cir. 1994); *Ruberto v. Commissioner of Internal Revenue*, 774 F.2d 61, 64 (2nd Cir. 1985) (where matching of fronts and backs was unclear, claimant would need to produce original checks to prove payment).

iii. **Mr. McCown’s Calculation of Damages is Riddled with Errors and May Not be Credited**

Complainant relies for its calculation of purported damages wholly on the mathematical machinations of Mr. McCown.⁵⁷ Brief at 29 (citing CX560 (McCown Rpt. at 35)). We have already

⁵⁷ The two spreadsheets McCown stated that he used to calculate damages are cited in the Fourth Edition Report. CX548 (McCown Rpt. at 23, FN26 (entitled “VCGPOR REPORT – YEAR 2021” and “VCGPOR – 2022 Report”)). *See*, Respondent’s Exhibits 15 and 16 (Produced in Native Excel Format). As explained by Mr. Hackett, these files do not contain the shipments Mr. McCown describes. RX79-81 (Hackett Rpt. at 39-41). Moreover, McCown’s calculations simply do not add up. RX82-83 (Hackett Rpt. at 42-43).

demonstrated that the McCown Report is inadmissible, irrelevant, unreliable, and riddled with errors. Those same showings apply equally to reparations.

In his Rebuttal Report, Mr. Hackett has pointed out Mr. McCown's many errors and miscalculations (and the fact that they contained charges alleged to be attributable to other carriers). Mr. Hackett's scrutiny of Mr. McCown's Report also makes plain that Mr. McCown made "multiple instances of flawed assumptions as well as methodological and calculation errors in his spreadsheets that underly his conclusions and subsequent assessment of damages." RX77 (Hackett Rpt. at 37). We further note that VCC and Mr. McCown appear to disagree on the calculation, as Mr. McCown says \$1,016,349.00 (CX560 (McCown Rpt. at 35)) while VCC in its Brief says \$1,161,807.00. Brief at 31.

Furthermore, Mr. McCown's calculation of damages appears premised not on any theory propounded by the Brief, but on a simple allegation that COSCO's daily rates were simply "higher than they should have been." As outlined above, the Commission does not regulate prices, and Mr. McCown's calculations are fatally flawed. In any event, Mr. Hackett demonstrates that COSCO's rates were not "outside industry norms," but rather, were among the lowest of its peers. RX77 (Hackett Rpt. at 37);[RPFF197-RPFF199.].⁵⁸

⁵⁸ Rather than relying on any facts, Mr. McCown "relies on estimates that are extrapolated to build a confusing picture of the maritime industry, and many calculations are undone by errors in methodology and process" which included, among others: (1) relying on a fixed value for carrier market share and directly equating that to revenue; (2) extrapolating two-thirds of carriers to represent the entire industry; (3) relying on aggregated data; (4) focusing on irrelevant periods of time; (5) misunderstanding the relationship between ocean carriers and terminals; (6) an unsupported belief that COSCO billed yard storage fees; (7) misunderstanding the FMC and Container xChange indices; (8) comparing U.S. to international demurrage and detention fees; (9) incorrectly believing COSCO had higher demurrage and detention revenue relative to the industry; (10) including cargo shipped with carriers other than COSCO; and (11) double counting invoices. RX95-RX96 (Hackett Rpt at 55-56).

iv. **Mr. McCown's Report Does Not Reflect Actual COSCO Charges**

As previously demonstrated, Mr. McCown did not review COSCO invoices (nor are any submitted as evidence), so he simply took VCC's word (who took RIM's word) for who invoiced the charge to whom and what it was for. Such sloppy work is entitled to no credit and is demonstrably wrong as a matter of fact.

Mr. McCown classified charges into four categories – Demurrage, Detention, Per Diem, and Yard Storage. CX548 (McCown Rpt. at 25 (Table 7)). There were no actual charges for detention, so we review the other three categories in descending order of amount.

1. Yard Storage

Mr. McCown asserts that COSCO imposed VCC (through RIM) \$1,146,814 for “yard storage.” But as already explained, [REDACTED] – [REDACTED]. [REDACTED] [RPFF123-RPFF126; RPFF219.] Mr. McCown should have recognized that if he reviewed the invoices underlying RIM’s charges to VCC. Subtracting these non-COSCO charges from the total yields a remaining sum of \$14,993. This amount is thus the *maximum* that VCC might conceivably be awarded. And even that is likely to include non-COSCO charges.

2. Demurrage Charges

Mr. McCown asserts that COSCO imposed VCC (through RIM) \$14,453 in demurrage. But there is no evidence that these were COSCO's demurrage charges. Demurrage charges may be imposed both by ocean common carriers and by terminals (which charge demurrage for the use of its space when cargo is removed late). There is no way to tell whether any of this amount came from COSCO, as opposed to a terminal. Accordingly, this must be deducted as well. The total is now down to the \$540 of purported *per diem*.

3. Per Diem

Mr. McCown asserts that COSCO imposed VCC (through RIM) \$540 in *per diem*. But again, he simply assumes that these charges were COSCO charges for detention/demurrage, without any invoices supporting his untutored assumption. The term “*per diem*” means only per day. Many charges are assessed by different parties on a daily basis. Absent the invoice on which it was charged, there is no way to know who the charge came from or what it was for. So this charge must be deducted as well, leaving a grand total of proven charges at \$0. So even if the Presiding Officer reaches the issue of reparations, \$0 is the most she could award.

CONCLUSION

For the reasons stated above, the Presiding Officer should dismiss the Complaint.

Dated: December 6, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 6th day of December, 2024, a true and correct copy of the foregoing **Respondent's Opposition Brief** was served by electronic mail on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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